



INSURANCE AND PENSIONS COMMISSION



SHORT-TERM (NON-LIFE) INSURANCE REPORT FOR THE NINE MONTHS-ENDED 30 SEPTEMBER 2020

+263 (242) 443358/59/61 | +263 (242) 443322
+263 772 154 281-4 | +263 (242) 444033



HEAD OFFICE- 160 Rhodesville Ave, Greendale, Harare
COMPLAINTS HANDLING OFFICE- Kingstons House, Cnr Leopold
Takawira/Kwame Nkrumah Avenue, Harare
COMPLAINTS HANDLING OFFICE- Office Number 18, Bulawayo Centre
Cnr Joshua Nkomo Street & 9th Ave, Bulawayo



www.ipec.co.zw

DISCLAIMER

This report, including any enclosures and attachments has been prepared by the Insurance and Pensions Commission (IPEC), for informative purposes to the insurance sector industry stakeholders. The report may not be reproduced, redistributed, communicated to a third party or relied upon by any other person for any other purpose without the Commission's prior written consent. The Commission does not accept any liability, if this report is used for any other purposes other than the above-mentioned intended purpose.

All the figures in this report are expressed in Zimbabwe dollars (ZWL) except stated otherwise. Figures relating to periods before February 2019 which were originally reported in United States dollars (US\$) have been converted into ZWL at parity in accordance with the provisions of S.I. 133 of 2019.

Growth rates referred to in this report are all nominal unless stated otherwise.

<https://rbz.co.zw/index.php/research/markets/inflation>

CONTENTS

SECTION A

EXECUTIVE SUMMARY.....	4
------------------------	---

SECTION B

TERMS OF REFERENCE.....	6
-------------------------	---

SECTION C

1. ECONOMIC DEVELOPMENT.....	7
1.1. Global and Regional Economic Outlook	7
1.2. Domestic Economic Outlook.....	7
1.3. Exchange Rate Developments.....	8
1.4. Inflation Developments.....	8
1.5. Zimbabwe Stock Exchange Developments.....	8
1.6. Victoria Falls Stock Exchange (VFEX).....	9
1.7. Money Market Developments.....	9

SECTION D

2. SHORT TERM INSURANCE COMPANIES	10
2.1. Performance in terms of business written	10
i Zimbabwe Dollar Denominated Business	10
ii United States Dollar Denominated Business.....	10
iii Distribution of foreign currency denominated business	11
2.3. Asset quality	11
2.4. Reinsurance.....	11
2.5. Actuarial Matters.....	12
2.6. Earnings	12
2.7. Liquidity	13
2.8. Market Share in terms of Zimbabwe Dollar denominated business.....	13
2.9. Market Share in terms of Foreign Currency Denominated Business.....	13

SECTION E

3. REINSURANCE COMPANIES	15
3.1. Performance in Terms of Business Written	15
i Gross Premium in terms of Zimbabwe Dollar denominated business.....	15
ii Gross Premium in terms of foreign currency denominated business.....	16
3.2. Capitalisation.....	16
3.3. Asset Quality	16
3.4. Actuarial Matters.....	16
3.5. Retrocession	17
3.6. Earnings.....	17
i Zimbabwe Dollar denominated Earnings.....	17
ii Earnings in terms of foreign currency denominated business.....	17
3.7. Liquidity.....	17
3.8. Market Share for Reinsurers	17

SECTION F

4.	INSURANCE BROKERS	19
4.1.	Business Written.....	19
i	Zimbabwe Dollar Denominated Business	19
ii	Foreign currency denominated business	19
4.2.	Capitalisation.....	20
4.3.	Asset Quality	20
4.4.	Earnings.....	21
4.5.	Market Share for Insurance Brokers.....	21

SECTION G

5.	REINSURANCE BROKERS.....	22
5.1.	Business Written.....	22
i	Zimbabwe Dollar denominated business	22
ii	Foreign currency denominated business.....	22
5.2.	Capitalisation.....	22
5.3.	Asset Quality	22
5.4.	Earnings for Reinsurance Brokers.....	23
5.5.	Market Share for Reinsurance Brokers.....	23

SECTION H

6.	MICROINSURANCE.....	24
6.1.	Gross Premium written.....	24
6.2.	Capitalisation.....	24
6.3.	Assets Quality.....	24
6.4.	Earnings.....	24
6.5.	Liquidity.....	24

SECTION J

7.	COMPLAINTS HANDLING.....	25
7.1.	Complaints Handled.....	25

LIST OF FIGURES

Figure 1: Interbank Exchange Rate January to September 2020 (US\$/ZWL).....	8
Figure 2: Month on Month Inflation 2020	8
Figure 3: Daily Market Capitalisation in ZWL Billions.....	9
Figure 4: Trend in Business Written.....	10
Figure 5: Contribution of Gross Premium Written by class of business.....	10
Figure 6: Contribution of various assets.....	12
Figure 7: Industry Assets Trend.....	12
Figure 8: Market Share for Short-Term Insurers in terms of GPW and NPW.....	13
Figure 9: Market Share for Short-Term Insurers in terms of Total Assets.....	14
Figure 10: Market Share in Foreign Currency Denominated Business.....	14
Figure 11: Trend in Business Written.....	15
Figure 12: Contribution of Gross Premium Written by Class of Business.....	15
Figure 13: Contribution of various assets.....	16
Figure 14: Market Share for Short-Term Reinsurers in Terms of GPW and NPW.....	17
Figure 15: Market Share for Short-Term Reinsurers in Terms of Total Assets.....	17
Figure 16: Premium Written by Brokers.....	19
Figure 17: Distribution of Premium Written by Brokers.....	20
Figure 18: Insurance Broker's breakdown of Total Assets	21
Figure 19: Insurance Brokers' Market Share in Terms of NBC and GPW.....	21
Figure 20: Contribution of various assets.....	24
Figure 21: Complaints Handled.....	25

LIST OF TABLES

Table 1: World Economic Outlook Projections (Percentage Change).....	7
Table 2: Average Rate per Annum.....	9
Table 3: Short-Term Insurers' GPW by Class of Business.....	10
Table 4: Distribution of Business Written in Foreign Currency.....	11
Table 5: Reported Capital Positions for Short-Term Insurers.....	11
Table 6: Reinsurers' Gross Premium Written by Class of Business.....	15
Table 7: Reported Capital Positions for Short-Term Reinsurers.....	16
Table 8: Indicators of Business Written by Insurance Brokers.....	19
Table 9: Reported Capital Levels for Insurance Brokers	20
Table 10: Indicators of Business Written by Reinsurance Brokers.....	22
Table 11: Indicators of Business Written by Reinsurance Brokers.....	22
Table 12 : Capitalisation Levels for Reinsurance Brokers.....	22



Section A

Section A

Executive Summary

This report provides key highlights of the performance of the short-term insurance sector for the nine months ended 30 September 2020.

Total Gross Premium Written (GPW) by short-term insurers for the Zimbabwe dollar denominated business amounted to ZWL4.63 billion, reflecting an increase of 634.94% from ZWL629.97 million reported for the comparative period in 2019. The total business written by reinsurers increased by 599.23% from ZWL294.32 million reported as at 30 September 2019 to ZWL2.06 billion for the comparative period in 2020.

During the nine months ended 30 September 2020, premium income by insurance brokers increased by 785% in nominal terms from ZWL268.68 million in 2019 to ZWL2.377 billion. Net brokerage commission for the nine months ended September 2020 amounted to ZWL341.99 million. Reinsurance brokers reported ZWL1.401 billion in gross premium for the nine months ended September 2020 as compared with ZWL181.78 million reported for the same period in 2019 reflecting a 671% increase. The average commission ratio for reinsurance brokers declined by 11 percentage points from 19% recorded for the nine months ended 30 September 2019 to 8% for the comparative period in 2020.

Only three (3) short term insurance players submitted foreign currency denominated returns for the period ended 30 September 2020. The three players wrote Gross Premiums amounting to US\$13.32 million. The rest of the industry players did not respond to the Commission's repeated call for the filling of returns relating to foreign currency denominated business in terms of Circular 15 of 2020.

Five (5) short term reinsurers submitted foreign currency denominated returns for the period ended 30 September 2020. The Gross Premium written by these players amounted to US\$33.81 million.

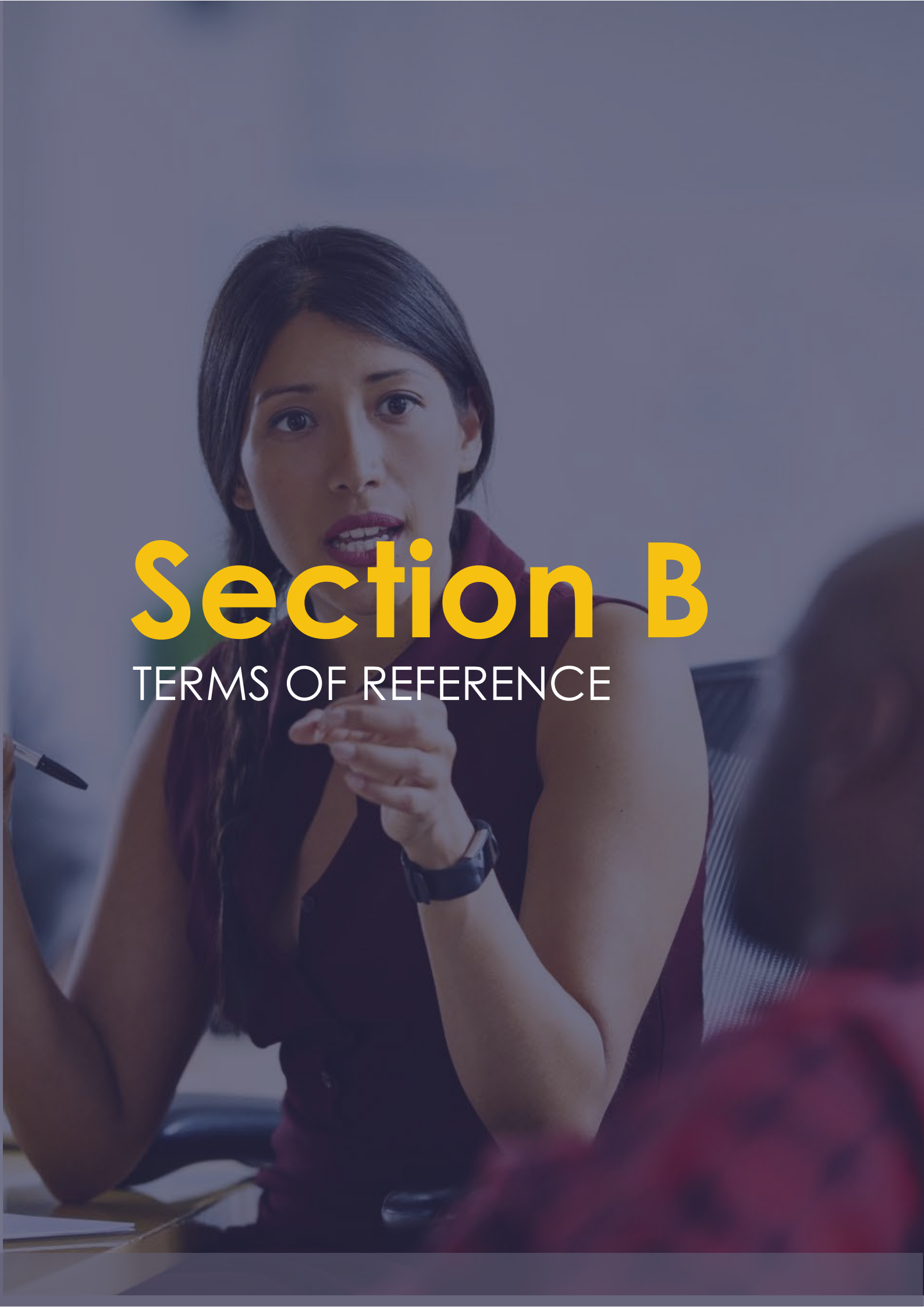
In terms of foreign currency denominated business, only five (5) out of the thirty-two (32) brokers completed returns in line with Circular 15 of 2020. The premium income generated by the entities amounted to US\$6.78 million with total commission of US\$1.07 million.

All the eighteen (18) short-term insurers were compliant with the minimum capital requirement of ZWL37.5 million as at 30 September 2020. The reported capital positions were computed without accounting for non-admissible assets as stipulated in Statutory Instrument 95 of 2017. All short-term reinsurers reported capital positions which were above the minimum capital requirement of ZWL75 million as at 30 September 2020.

All the registered short-term reinsurers reported capital positions above the prescribed minimum capital requirement of ZWL75 million. As at 30 September 2020, five (5) insurance brokers reported capital positions that were below the required minimum of ZWL1.5 million. One (1) out of the seven registered reinsurance brokers reported capital position below the minimum capital requirement of ZWL1.5 million.

Total assets for short-term insurers increased from ZWL5.56 billion reported as at 30 June 2020 to ZWL6.76 billion as at 30 September 2020. Total assets for short-term reinsurers increased from ZWL3.69 billion reported as at 30 June 2020 to ZWL6.06 billion as at 30 September 2020. Average compliance in prescribed assets increased from 2.24% to 4.90% for short-term insurers and decreased from 18.13% to 16.70% for reinsurers, as at 30 June 2020 and 30 September 2020 respectively. Only one (1) short-term insurance player was compliant with the minimum prescribed asset ratio of 10% as at 30 September 2020 and no reinsurer was compliant with the minimum prescribed asset ratio of 10% as at the same date.

Total assets for the insurance brokers increased significantly from ZWL114.1 million as at 30 September 2019 to ZWL957.23 million as at 30 September 2020. Reinsurance brokers reported total assets amounting to ZWL735.09 million as at 30 September 2020 which was an increase from the ZWL277.23 million reported during the same period in 2019.

A woman with dark hair, wearing a dark red sleeveless top, is seated at a table in a meeting. She is looking towards the camera with a slight smile and her hands are clasped together. A black pen is visible in her right hand. The background is blurred, showing other people in the meeting.

Section B

TERMS OF REFERENCE



Introduction

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines short-term sector developments and IPEC's various activities in the short-term sector consistent with its statutory mandate during the nine months ended 30 September 2020.

Term of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

- Insurance and pensions Commission Act [Chapter 24:21];
- Pension and Provident Funds Act [Chapter 24:09];
- Insurance Act [Chapter 24:07];
- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate Governance Act [Chapter 10:31];
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]



Section C

1. ECONOMIC DEVELOPMENT

1. ECONOMIC DEVELOPMENT

1.1. Global and Regional Economic Outlook

The total number of confirmed Covid-19 cases globally exceeded 33 million, with over a million deaths as at 30 September 2020, compared to over 10.2 million cases and 503 862 deaths recorded as at 30 June 2020. Most notable increases in Covid-19 transmissions were recorded towards the end of the quarter, in the United States of America, Latin America, India and South Africa.

Notwithstanding the general improvement in global economic activity, the road to recovery is projected to be long, winding and uncertain following a renewed surge in new Covid-19 infections. As a result, re-openings have been stalled and targeted lockdowns reinstated in some countries such as the United Kingdom, France and Germany.

Revised IMF projections reveal a lesser contraction in global economic output of 4.4% in 2020, from an earlier forecast of 4.90% in June 2020, driven by improved GDP growth forecast for advanced economies. The advanced economies are expected to decline by -5.8% in 2020, an improvement from earlier forecast of -8.0%, following expected better GDP outturns in the Euro area and the United States that adopted aggressive policy measures which contributed to improved financial conditions.

GDP growth for emerging markets and developing economies (EMDEs) is expected to contract by 3.3% in 2020. However, significant growth of 1.9% in 2020 and 8.2% in 2021 is expected in China, as the economy reopened early in April, and normalised faster

than expected owing to strong policies and resilient exports. Global outlook projections are as shown in Table 1.

Table 1: World Economic Outlook Projections (Percentage Change)

	2019	2020*	2021*
World Output	2.8	-4.4	5.2
Advanced Economies	1.7	-5.8	3.9
USA	2.2	-4.3	3.1
Euro Area	1.3	-8.3	5.2
Emerging Markets and Developing countries	3.7	-3.3	6
China	6.7	1.9	8.2
Sub-Saharan Africa	3.2	-3	3.1
Nigeria	2.2	-4.3	1.7
South Africa	0.2	-8.0	3.0

Source: October 2020 World Economic Outlook, IMF. * Revised projections

Sub-Saharan Africa GDP growth expectations were broadly unchanged from June 2020, with a contraction of 3% in 2020. A rebound of 3.1% is projected in 2021 to pre-Covid-19 levels. The largest growth impact in the region is expected to arise from tourism dependent and commodity dependant economies including oil exporting countries.

1.2. Domestic Economic Outlook

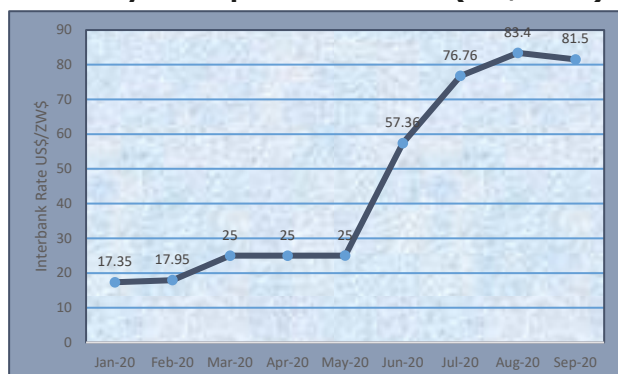
The Government projects the domestic economy to contract by 4.5% in 2020 owing to vulnerabilities suffered during the pre-Covid19 i.e. climatic shocks and macroeconomic instability. The economy is expected to rebound by 7.4% in 2021, underpinned by stabilisation gains of the Transitional Stabilisation Programme, successor strategies and programmes under the National Development Strategy as well as improved climate and investment conditions.

IMF projections on Zimbabwe, however, show a much deeper contraction in 2020, of 10.4% in 2020, and a more conservative growth of 4.2% in 2021.

1.3. Exchange Rate Developments
The introduction of the foreign exchange auction system on 23 June 2020 has resulted in a more stable and predictable foreign exchange market. Availability of foreign exchange has also improved, with a total of US\$291 million having been allotted by 2 October 2020.

The interbank rate reached depreciated to ZWL83.4 in August 2020 from ZWL57.36 in June 2020, before closing the quarter at ZWL81.50 as depicted in Figure 1.

Figure 1: Interbank Exchange Rate January to September 2020 (US\$/ZWL)



Source: Reserve Bank of Zimbabwe

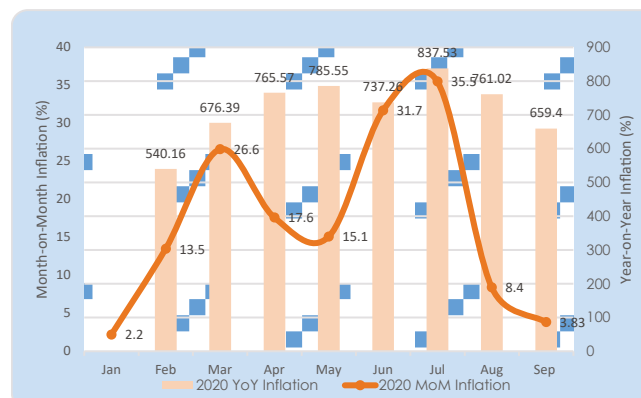
1.4. Inflation Developments

The foreign exchange auction system stemmed the indexing of prices to parallel market rates by market players that in turn fuelled inflation. This was evidenced by a sharp decline in month-on-month inflation rate from 35.5% in July 2020 to 8.4% in August 2020, and a further decline in September to close the quarter at 3.83%.

Major declines were recorded in food and non-alcoholic beverages inflation rate which decreased by 31.69% in August to reach 6.30% from the July rate of 37.99%. Non-food inflation declined to 23.73% from 33.76% in July 2020.

The annual inflation rate also declined from 837.37% in July 2020 to 659.4% in September 2020 as shown in Figure 2. The reduction in inflation rate, though in the positive territory, shows that prices are increasing at a decreasing rate.

Figure 2: Month on Month Inflation 2020 and Year on Year Inflation 2020 (percent)



Source: ZIMSTATS

ZIMSTAT introduced a blended CPI inflation in June 2020, which combines the average changes in price of goods and services sold in the two main currencies in circulation, namely the ZWL and the US\$. The annual blended CPI inflation was 457.19% in June 2020 and increased to 485.3% in August before declining to close the quarter at 376.3% in September 2020.

The monthly blended CPI inflation rate declined from 29.44% in June 2020 to 16.7% in July, and further decreased to 1.4% in August 2020. In September 2020, the blended inflation was -0.5%.

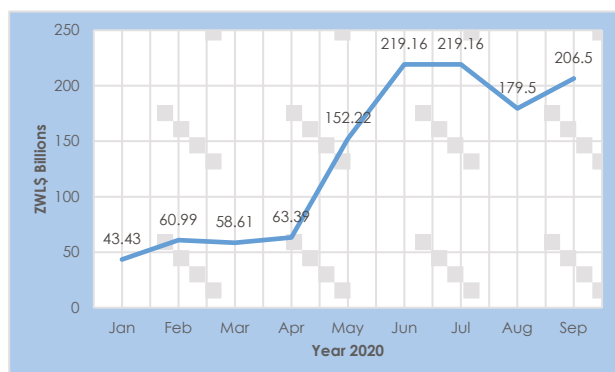
1.5. Zimbabwe Stock Exchange Developments

Trading on the Zimbabwe Stock Exchange resumed on 3 August 2020, following the suspension of trading activities on 26 June 2020, to pave way for investigations into the suspected trading of foreign exchange on the parallel market linked to movements in

the Old Mutual Implied Exchange Rate. Old Mutual, PPC remain suspended from trading on ZSE whereas Seed Co International is now trading on the Victoria Falls Stock Exchange.

As a result of the suspension of trade on the ZSE, market capitalisation level was affected as it declined from ZWL219.16 billion recorded on 26 June 2020 before the suspension of trade to ZWL179.50 billion by 28 August 2020. Though market capitalisation improved to ZWL206.50 billion as at 30 September 2020, it still fell short of the June level as depicted in Figure 3.

Figure 3: Daily Market Capitalisation in ZWL Billions



Source: Zimbabwe Stock Exchange

1.6. Victoria Falls Stock Exchange (VFEX)

The launch of the Victoria Falls Stock Exchange on 23 October 2020, was a welcome development for the insurance and pensions industry as it provides opportunities to diversify investment portfolios and also hedge against exchange rate risk.

Trading, depository and settlement services commenced on the 26th of October 2020. According to section 6 of SI.196 of 2020, the clearing and settlement of transactions on the VFEX shall be done by the VFEX, locally or offshore in accordance with clearing and settlement rules approved by the Securities and Exchange Commission of

Zimbabwe, in consultation with the RBZ. All fungibility restrictions on SeedCo International Limited shares were lifted effective 6 November 2020. However, the delay in listing and removing fungibility of Old Mutual and PPC shares is of concern to the industry as it affects the determination of asset values of pension funds members and policyholders currently tied in the two counters.

1.7. Money Market Developments

The interest rate on savings deposits remained unchanged for the quarter under review, ranging from a minimum of 2.35% and maximum of 5.19%.

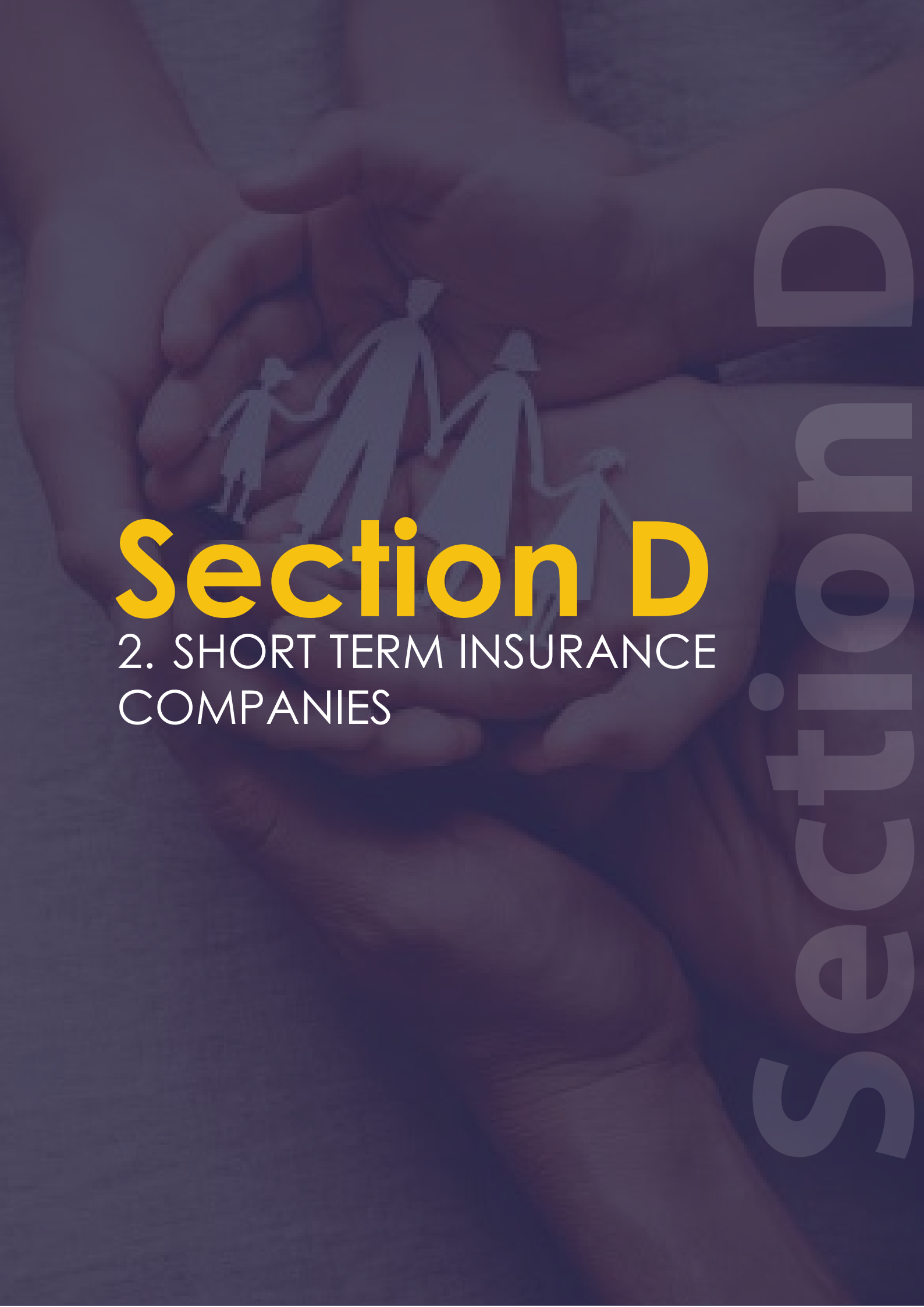
One-month deposit rates improved from a minimum of 3.88% end of July 2020 to 4.17% at 25 September 2020. Maximum rates for the same period increased from 6.99% to 7.73%.

The three-month deposit rates also improved from a minimum of 4.36% to 4.50% and the maximum rates from 7.17% to 8.37%. However, real rates remain negative given the high level of annual inflation.

Table 2: Average Rate per Annum

Date	Savings Deposit (%)	One-Month Deposit Rates (%)	Three-Month Deposit Rates (%)
30-Jun-20	2.35-5.19	3.26-6.56	4.21-7.22
31-Jul-20	2.35-5.19	3.88-6.99	4.36-7.17
28-Aug-20	2.35-5.19	4.14-7.17	4.79-7.49
25-Sep-20	2.35-5.19	4.17-7.73	4.50-8.37

Source: Reserve Bank of Zimbabwe, 2020

The background of the slide features a close-up of two hands cupped together, holding a small, light-colored silhouette of a family (two adults and two children). The entire image is overlaid with a semi-transparent dark purple filter. On the right side, the word 'Section' is written vertically in a large, light grey font, with a large 'D' at the top.

Section D

2. SHORT TERM INSURANCE COMPANIES

2. SHORT TERM INSURANCE COMPANIES

2.1. Performance in terms of business written

i Zimbabwe Dollar Denominated Business

Total Gross Premium Written (GPW) by short-term insurers increased by 634.94% from ZWL629.97 million reported during the first nine months of 2019 to ZWL4.63 billion recorded in the same period in 2020. The significant nominal growth in gross premium written is mainly attributable to insurance premiums closely tracking inflation following currency reforms. Figure 4 below shows the trend in nominal volume of the business generated by short-term insurers for the first three quarters since 2016:

Figure 4: Trend in Business Written



The sizeable jump in the volume of business written by the short term insurance players between 2018 and 2019 was on account of inflation, induced by currency reforms.

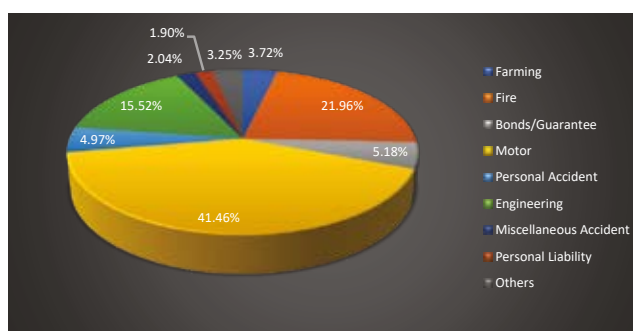
The distribution of business generated during the quarter ended 30 September 2020 across different business classes is shown in Table 3 as follows:

Table 3: Short-Term Insurers' GPW by Class of Business

Class of Business	Gross Premium Written (ZWL)		Percentage Change
	30-Sep-20	30-Sep-19	
Aviation	864 529	314 576	175%
Bonds/Guarantee	239 741 911	38 356 200	525%
Engineering	718 664 531	58 211 278	1 135%
Farming	172 392 977	4 279 045	3 929%
Fire	1 016 853 563	136 662 047	644%
Hail	15 109 364	468 187	3 127%
Health	0	0	0
Hire Purchase	48 678 128	6 621 441	272%
Marine	85 613 295	13 103 075	45%
Miscellaneous Accident	94 357 485	58 999 503	-65%
Motor	1 919 597 209	269 204 594	613%
Personal Accident	230 060 659	35 181 216	554%
Personal Liability	87 950 229	8 570 015	926%
Total	4 629 883 881	629 971 177	635%

As shown in the table above, motor, fire and engineering insurance business classes were the major sources of the sector's gross premium written contributing 78.95% of the overall business written during the first nine months ended 30 September 2020.

Figure 5: Contribution of Gross Premium Written by class of business



*Others comprise of marine, aviation, hail, hire purchase and health

The major contributor to the total gross premium written by short term insurers as depicted in figure 5, is motor insurance class of business.

ii United States Dollar Denominated Business

Only 3 (three) short term insurance players submitted foreign currency denominated returns for the period ending 30 September 2020. The three players wrote Gross Premiums amounting to US\$13.32 million.

The rest of the industry players did not respond to the Commission's repeated call for the filling of returns relating to foreign currency denominated business in terms of Circular 15 of 2020. The Commission will, accordingly, institute appropriate regulatory sanctions to enforce compliance.

iii Distribution of foreign currency denominated business

Fire and motor insurance business classes contributed 65.64% of the total Gross Premium Written in foreign currency by the insurance players during the period under review. Table 4 below shows the distribution of foreign currency denominated business written during the period ending 30 September 2020.

Table 4: Distribution of Business Written in Foreign Currency

Class	Gross Premium Written (US\$)	% Contribution
Fire	3, 527, 551	26.48
Motor	5, 217, 950	39.16
Miscellaneous Accident	1, 365, 084	10.25
Farming	59, 569	0.45
Engineering	762, 575	5.72
Personal Accident	1, 403, 658	10.54
Aviation	35, 459	0.27
Marine	634, 243	4.76
Other	316, 917	2.38
Total	13, 323, 006	100.00

2.2. Capitalisation

As at 30 September 2020, all eighteen (18) short-term insurers were compliant with the minimum capital requirement of ZWL37.5 million.

The reported capital positions were, however, computed without accounting for non-admissible assets as stipulated in Statutory Instrument 95 of 2017. The capital positions reported by short-term insurers for the quarter ended 30 September 2020 are shown in Table 5 as follows:

Table 5: Reported Capital Positions for Short-Term Insurers

Name of insurance company	Reported Capital Position (ZWL)	
	30-Sept-20	30-Sept-19
1. Alliance Insurance Company	107, 164, 490	80, 062, 064
2. Allied Insurance Company	203, 253, 547	31, 265, 683
3. CBZ Insurance Company	147, 016, 516	28, 792, 538
4. Cell Insurance Company	266, 623, 860	23, 102, 895
5. Champions Insurance Company	47, 083, 590	15, 307, 126
6. Clarion Insurance Company	47, 959, 573	5, 900, 649
7. Credsure Insurance Zimbabwe	129, 951, 442	13, 588, 176
8. Econet Insurance Company	313, 498, 344	41, 607, 373
9. Evolution Insurance Company	78, 628, 801	11, 791, 243
10. ECGC	83, 023, 956	16, 157, 777
11. FBC Insurance Company	82, 179, 595	20, 886, 809
12. Hamilton Insurance Company	296, 643, 485	26, 290, 129
13. Nicos Diamond Insurance Company	375, 488, 938	61, 957, 517
14. Old Mutual Insurance Company	550, 689, 621	131, 976, 522
15. Quality Insurance Company	116, 768, 000	21, 131, 000
16. Safel Insurance Company	79, 417, 281	87, 054, 298
17. Sanctuary Insurance Company	231, 424, 278	4, 612, 730
18. Zimnat Lion Insurance Company	284, 348, 493	27, 024, 137

Key:

	The insurer reported a capital position that was above the MCR requirement of ZWL37.5 million
	The insurer reported a capital position which was below MCR of ZWL37.5 million

2.3. Asset quality

Total assets for short-term insurers increased by 21.63% in nominal terms from ZWL5.56 billion reported as at 30 June 2020 to ZWL6.76 billion as at 30 September 2020. The increase in assets is mainly attributable to property revaluations, cash and cash equivalents and premium debtors which collectively accounted for 61.06% of the total assets.

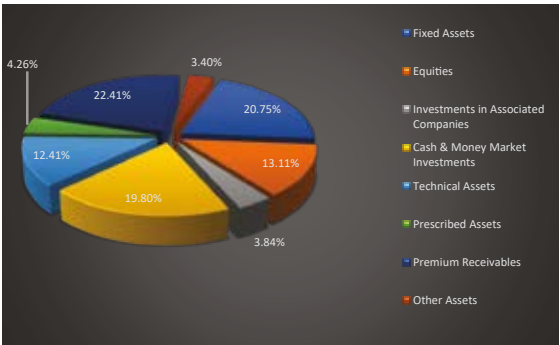
Premium debtors slightly decreased by 1.82% from ZWL1.54 billion as at 30 June 2020 to ZWL1.52 billion as at 30 September 2020. The slight decrease is reflective of the price and exchange rate stability witnessed during the last three months following the introduction of the Dutch Auction foreign exchange system. The Commission is, however, concerned by the high level of the premium debtors as this negatively impact on insurers' capacity to meet policyholders' claims as they fall due. In this regard, insurers are urged to strengthen their underwriting tools to reduce credit risk.

Investments in prescribed assets increased by 180.78% from ZWL102.49 million as at 30 June 2020 to ZWL287.76 million as at 30 September 2020. Only

one (1) out of the eighteen (18) short-term insurers was compliant with the minimum prescribed asset ratio of 10% as at 30 September 2020. Short-term insurers are urged to commit to their prescribed asset compliance roadmaps.

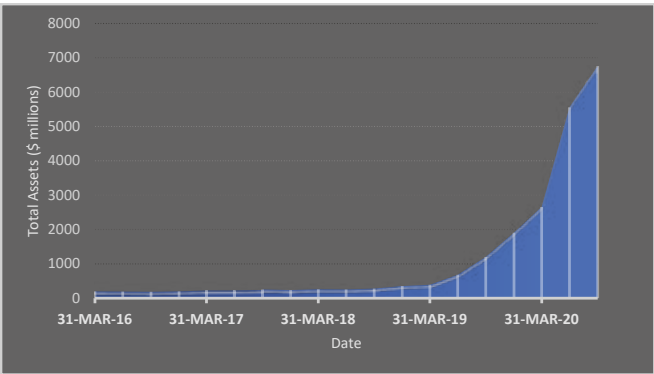
The Commission, in consultation with the industry recently reviewed the prescribed asset framework. Review of the prescribed asset framework widened the assets recognised for prescribed asset purposes in line with the National Development Strategy 1 (NDS 1) and took into cognisance industry needs to ensure the preservation of investor and policyholder funds. The industry has also been called upon by the Commission to come up with projects that can be accorded prescribed assets status as a way of improving their compliance. The contribution of various asset classes to total assets as at 30 September 2020 is shown in Figure 6 as follows:

Figure 6: Contribution of various assets



Insurance players are encouraged to ensure that they structure their investment portfolios in a way that enables them to preserve policyholder values as well as ensuring a balanced investment mix in line with the Commission`s investment limits outlined in Circular 2 of 2013.

Figure 7: Industry Assets Trend



The sizeable jump in total industry assets between 2018 and 2020 was on account of inflation induced by currency reforms.

2.4. Reinsurance

The industry average retention ratio increased slightly from 45.26% during the nine months ended 30 September 2019 to 45.43% during the comparative period in 2020. In terms of foreign currency denominated business, the average retention ratio for the players was 22.53%, which translates to reinsurance ratio of 77.47%. Retention ratios for individual insurers ranged from 8.69% to 99.94%.

The average reinsurance creditors to reinsurance premium ratio decreased from 43.36% reported as at 30 September 2019 to 41.68% as at 30 September 2020. This shows that insurers managed to pay more to their reinsurers as compared to the previous comparable period. (See Appendix 1C for more indicators).

2.5. Actuarial Matters

Technical liabilities for the short-term insurers rose by 44.92% from ZWL1.07 billion as at 30 June 2020 to ZWL1.55 billion as at 30 September 2020. In terms of United States dollars, technical liabilities amounted to US\$4.55 million for the period under review.

The average liquid assets to total technical reserves ratio for the period

under review was 179.57% as compared to 104.29% for the comparative period in 2019. The ratio measures the degree to which an insurer can cover its technical obligations by holding cash and other liquid investments to meet unexpected cash needs without the sale of investments that may result in substantial realised losses. This growth shows the cautious approach by industry players in setting aside liquid assets for unexpected claims. (See Appendix 1C for the performance indicators of insurance companies in terms of Actuarial matters).

2.6. Earnings

Total after tax profit by short-term insurers grew by 883.67% from ZWL197.81 million reported during the first nine months of 2019 to ZWL1.95 billion during the comparative period in 2020. The significant increase in after tax profit was on account of unrealised gains from assets which rose by 1, 138.01% from ZWL115.50 million during the period ending 30 September 2019 to ZWL1.43 billion during the period under review.

The players that reported foreign currency denominated business had earnings amounting to US\$1.01 million for the period under review.

The sector's average return on assets (ROA) and return on equity (ROE) was 56.02% and 110.20% respectively for the period under review. (For more performance indicators on profitability refer to Appendix 1C under earnings).

2.7. Liquidity

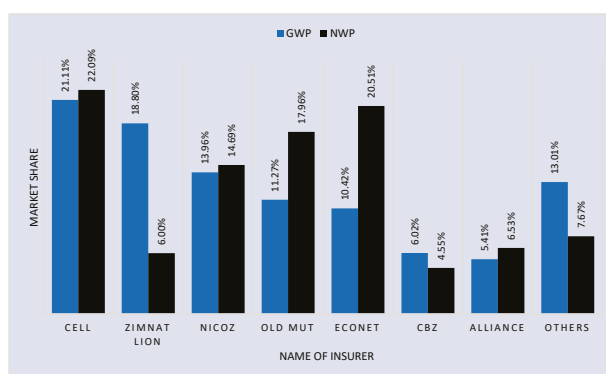
Cash and near cash assets in the form of money market instruments and short-term prescribed assets increased from ZWL883.81 million as at 30 June 2020 to ZWL1.63 billion as at

September 2020. The increase in liquid asset holdings by the short-term players was in line with the increase in technical liabilities during the period under review. Individual insurers' acid test ratios as at 30 September 2020 ranged from 6.32% to 3,091.38% as shown in Appendix 1C.

2.8. Market Share in terms of Zimbabwe Dollar denominated business

During the first nine months ended 30 September 2020, Cell Insurance, Zimnat Lion, Nicoz Diamond, Old Mutual and Econet were the market leaders in terms of Zimbabwe Dollar denominated GPW with a combined market share of 75.56%. Figure 8 shows the market share in terms of GPW and NPW for all insurers:

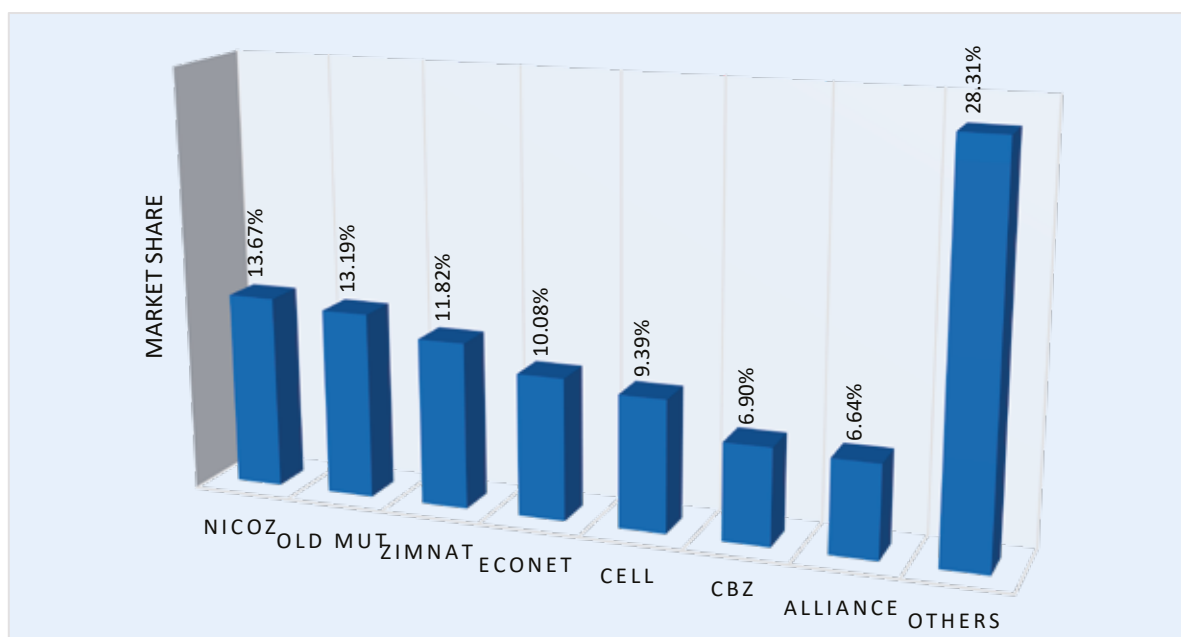
Figure 8: Market Share for Short-Term Insurers in terms of GPW and NPW



Others comprise of Allied, Champions, Credsure, ECGC, Evolution, FBC, Hamilton, Quality, Safel and Sanctuary

In terms of total assets, Nicoz Diamond, Old Mutual, Zimnat, Econet and Cell Insurance were the market leaders with a combined market share of 58.5% as shown in Figure 9:

Figure 9: Market Share for Short-Term Insurers in terms of Total Assets



*Others comprise of Allied, Champions, Credsure, ECGC, Evolution, Fbc, Hamilton, Quality, Safel and Sanctuary

2.9. Market Share in terms of Foreign Currency Denominated Business

Old Mutual Insurance Company was the market leader in terms of business written in foreign currency, followed by Alliance Insurance and Nicoz Diamond as shown in Figure 10 below.

Figure 10: Market Share in Foreign Currency Denominated Business



Section E

3. Reinsurance Companies

Section E

3.1. Performance in Terms of Business Written

i Gross Premium in terms of Zimbabwe Dollar denominated business

The total business written by reinsurers increased by 599.23% from ZWL294.32 million for the nine months ended 30 September 2019 to ZWL2.06 billion for the comparative period in 2020. The increase in the volume of business by reinsurers is in line with the 634.94% nominal growth in the business written by the direct short-term insurers during the two comparative periods.

The amount of business ceded to retrocessionnaires also grew by 552.03% from ZWL90.58 million as at 30 September 2019 to ZWL590.62 million as at 30 September 2020. Figure 11 below shows the trend in volume of business written by short term reinsurers during the first nine months for the period from 2016 to 2020.

Figure 11: Trend in Business Written



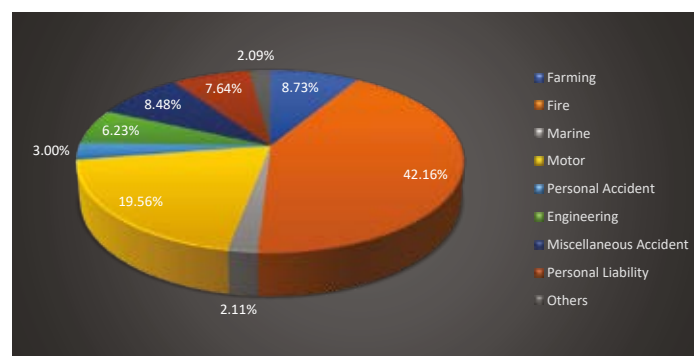
The significant increase in business written by the reinsurers between 2018 and 2019 was on account of currency reforms. Table 6 shows the percentage growth in GPW for different classes of business.

Table 6: Reinsurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (ZWL)		Percentage Change
	30-Sep-20	30-Sep-19	
Aviation	34 652 672	6 003 243	477%
Bonds/Guarantee	6 264 954	3 947 195	59%
Engineering	128 266 396	22 853 718	461%
Farming	179 747 815	5 606 112	3106%
Fire	867 593 261	126 234 320	587%
Hail	0	1 355 953	
Health	755 820	770 852	-2%
Hire Purchase	1 254 240	52 067	2309%
Marine	43 328 612	3 699 330	1071%
Miscellaneous Accident	174 569 989	23 518 023	642%
Motor	402 441 870	85 443 996	371%
Personal Accident	61 741 281	10 091 254	511%
Personal Liability	157 326 065	4 739 661	3219%
Total	2 057 942 975	294 315 724	599%

As shown in the table above, fire, motor and farming insurance business classes were the major sources of reinsurance business in terms of the sector's gross premium written contributing 70.45% of the overall business written during the first nine months ended 30 September 2020.

Figure 12: Contribution of Gross Premium Written by Class of Business



Others comprise of aviation, bonds/guarantee, hail, hire purchase and health

Fire insurance was the major contributor to the total gross premium written by short-term reinsurers as depicted in figure 12.

ii Gross Premium in terms of foreign currency denominated business

Of the 8 short-term reinsurers, only five (5) submitted their foreign currency denominated quarterly returns in line with the requirements of Circular 15 of 2020. The total Gross Premium Written

by these reinsurers amounted to US\$33.81 million.

3.2. Capitalisation

All the registered short-term reinsurers reported capital positions above the prescribed minimum capital requirement of ZWL75 million. However, these reported capital positions were not adjusted in line with the provisions of Statutory Instrument (S.I.) 95 of 2017. (See Table 7.

Table 7: Reported Capital Positions for Short-Term Reinsurers

Reinsurance Company	Reported capital position (ZWL)	
	30-Sept-20	30-Sept-19
1. Emeritus Re	583,335,106	89,727,875
2. FBC Re	416,622,844	27,671,668
3. FM Re	180,348,600	18,673,172
4. Grand Re	177,223,698	20,061,957
5. Tropical Re	325,260,683	26,436,697
6. WAICA Re	221,333,366	58,344,723
7. PTA Re	863,580,307	142,471,449
8. ZB Re	456,797,655	49,093,806

Key:

	The insurer reported a capital position above the capital requirement of ZWL75 million
	The insurer reported a capital position which below the minimum capital requirement of ZWL75 million

The average solvency ratio for short-term reinsurers was 219.75% as at 30 September 2020, which was more than the 212.28% reported as at 30 September 2019. All the reinsurers were compliant with the minimum solvency margin of 25% stipulated in Section 24(1a) (ii) of the Insurance Act [Chapter 24:07]. The solvency ratio for individual reinsurers as at 30 September 2020 ranged from 46.62% to 1,149.29% as shown in appendix 2C.

3.3. Asset Quality

Short-term reinsurers had an asset base of ZWL6.06 billion as at 30 September 2020, reflecting a 64.22% increase from the ZWL3.69 billion reported as at 30 June 2020. Growth in assets of reinsurers was mainly attributable to revaluations on property and other non-current assets and equities tracking inflation.

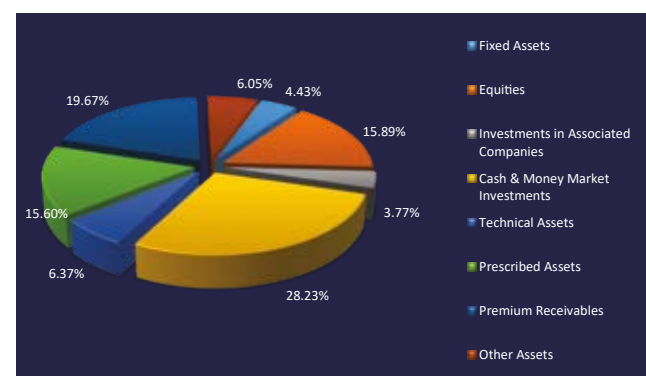
Investments in prescribed assets increased from ZWL641.36 million as at 30

June 2020 to ZWL944.60 million as at 30 September 2020. One reinsurer was compliant with the requisite prescribed asset threshold of 10% as at 30 September 2020. Reinsurers are urged to commit to the submitted roadmaps to ensure compliance. The prescribed assets compliance thresholds for the short-term reinsurers is shown in Appendix 2C.

Premium receivables increased by 44.67% from ZWL823.08 million as at 30 June 2020 to ZWL1.19 billion as at 30 September 2020. The increase in premium receivables continues to be a huge challenge and the Commission encourages players to ensure that they continuously design effective credit control systems to manage credit risk. It is the Commission's expectation that deliberations on the No Premium No Cover issue will provide a lasting solution to the challenge of premium debtors especially to reinsurance business.

The contribution of various asset classes to total assets as at 30 September 2020 is shown in Figure 13 as below:

Figure 13: Contribution of various assets



3.4. Actuarial Matters

Total technical liabilities increased from ZWL684.80 million as at 30 June 2020 to ZWL1.50 billion as at 30 September 2020. The largest proportion of total technical liabilities was attributable to

Gross Outstanding Claims and Unearned Premium Reserves, which amounted to ZWL1.32 billion accounting for 88.29% of the total technical liabilities.

3.5. Retrocession

The industry's average retention ratio was 71.30% for the quarter ending 30 September 2020 compared to 69.22% that was reported the same period in 2019. The individual reinsurers reported retention ratios ranging from 35.28% to 95.14% for the nine months ended 30 September 2020.

3.6. Earnings

i Zimbabwe Dollar denominated Earnings

Total after tax profit for short-term reinsurers increased from ZWL280.03 million for the period ended 30 September 2019 to ZWL1.13 billion for the period ended 30 September 2020. The significant increase in after tax profit was on account of unrealised gains from assets that increased by 279.78% from ZWL323.32 million as at 30 September 2019 to ZWL1.23 billion for the period ending 30 September 2020. The increase in unrealised gains was mainly caused by exchange rate driven inflation. The combined ratio and other ratios that relate to profitability for short-term reinsurers are shown in Appendix 2C under earnings.

ii Earnings in terms of foreign currency denominated business

The total after tax profit for the short-term reinsurers who filed their returns for foreign currency denominated business amounted to US\$2.53 million.

3.7. Liquidity

Liquid assets held by short-term reinsurers increased from ZWL1.57 billion as at 30 June 2020 to ZWL2.65 billion as at 30 September 2020. The average acid test ratio for short-term reinsurers significantly decreased from 139.42% as at 30 September 2019 to 102.66% as at 30 September 2020. The acid test ratios for short-term reinsurers is shown on Appendix 2C under liquidity.

3.8. Market Share for Reinsurers

As shown in Figure 14 below, the market leaders in terms of Gross Premium Written (GPW) were Grand Re, WAICA Re and Emeritus Re. These reinsurers controlled 70% of Gross Premium Written (GPW) for the quarter ended 30 September 2020.

Figure 14: Market Share for Short-Term Reinsurers in Terms of GPW and NPW

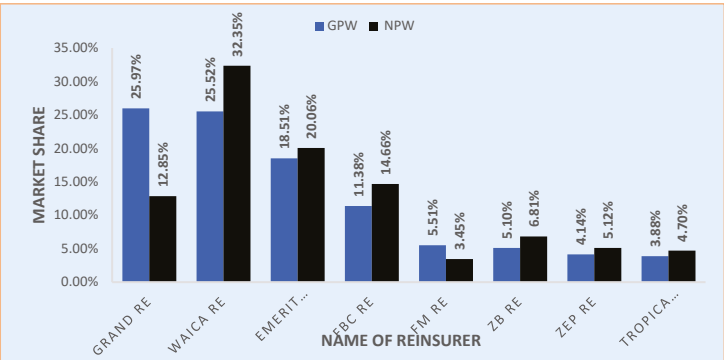
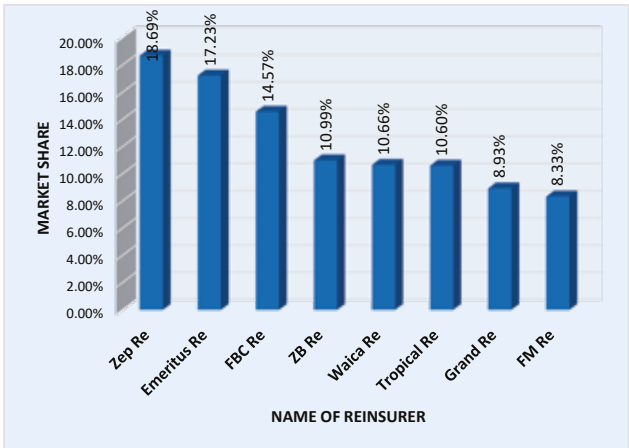


Figure 15: Market Share for Short-Term Reinsurers in Terms of Total Assets



In terms of total assets, Zep-Re, Emeritus Re and FBC Re were the market leaders, with a combined market share of 50.39%. Figure 15 shows the market share in terms of total assets as at 30 September 2020.

Section F

4. INSURANCE BROKERS

Section F

In developing this report, Ambassador, Auto and General, Hostcare and Revival Insurance Brokers failed to submit their 2020 third quarter returns and were subsequently excluded. The Commission is accordingly instituting appropriate regulatory sanctions against the non-compliant entities and has begun the process of cancelling their registration certificates.

Although the IPEC online portal is now fully functional, the Commission has noted the decrease in the number of online submissions from 53% in June 2020 to 44% in September 2020. The bulk of returns were received as hard copies thereby delaying the production of the third quarter report. The Commission would like to underscore the importance of online submission of returns in compliance with the new norm during this COVID-19 pandemic. In addition to uploading quarterly returns on the online portal platform, brokers are urged to submit signed scanned copies of their returns via e-mail for verification purposes.

4.1. Business Written Zimbabwe Dollar Denominated Business

For the third quarter ended 30 September 2020, premium income by insurance brokers increased by 785% in nominal terms from ZWL268.68 million recorded during the comparative period in 2019 to ZWL2.377 billion. Net brokerage commission for the third quarter of 2020 amounted to ZWL341.99 million. The increased volume of business recorded by insurance brokers during the period under review was on account of gradual premium increases in line with inflationary trends.

The average commission rate for the sector decreased by three percentage points from 17% recorded during the third quarter of 2019 to 15% recorded during the comparative period in 2020.

The Commission has noted an increase in the use of unregistered agents by some brokers and insurance entities. Insurers and brokers are, accordingly, urged to employ only registered intermediaries to ensure transparency, policyholder protection as well as avoid regulatory breaches that attract regulatory fines and penalties. Table 8 shows key indicators for the business written by the insurance brokers.

Table 8: Indicators of Business Written by Insurance Brokers

Indicator	30-Sept-2020 (ZWL)	30-Sept-2019 (ZWL)	Percentage change
Premium Written	2,377,258,858	268,675,583	785%
Premium Payable	2,023,283,747	223,435,246	806%
Brokerage Commission	353,975,112	45,219,870	683%
Commission Paid	11,987,651	4,751,144	152%
Net Brokerage Commission	341,987,460	40,468,725	745%
Other Income	66,062,178	6,234,526	960%
Operating Expenses	220,094,296	26,730,076	723%
Profit Before Tax	187,955,342	19,973,175	841%
Taxation	41,829,852	3,895,834	974%
Profit After Tax	146,125,491	16,077,341	809%

The top ten brokers accounted for 77% of the total premium income written during the nine months ending 30 September 2020. The market leader in terms of premium written was Minerva Risk Services with a premium income of ZWL525.06 million accounting for 22% of the business written. Figure 16 below shows the premiums written by direct brokers during the third quarter ending 30 September 2020.

Figure 16: Premium Written by Brokers

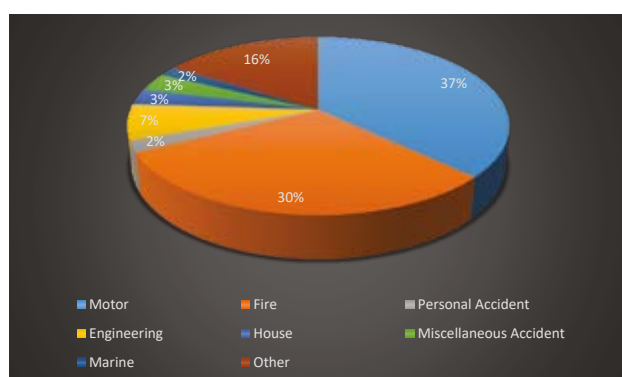


ii Foreign currency denominated business

Of the 32 direct brokers only five filed their foreign currency denominated

business returns. The total premium received in United States dollars amounted to \$6.78 million and total Commission was recorded as \$1.07 million. Motor and Fire business lines respectively constituted 37% and 30% of total premium. The chart below shows the distribution of premium written by line of business.

Figure 17: Distribution of Premium Written by Brokers



4.2. Capitalisation

As at 30 September 2020, five insurance brokers reported capital positions below minimum capital requirement of ZWL1.5 million. The reported capital positions for insurance brokers ranged from ZWL19, 286 to ZWL50.38 million. Non-compliant brokers are once again urged to implement / review their compliance roadmaps to ensure compliance with the minimum capital requirements in line with Statutory Instrument 59 of 2020.

In addition to maintaining minimum capital requirements, all insurance brokers are expected to ensure that they have in place, at all times, proper and valid professional indemnity in line with the provisions of Statutory Instrument 59 of 2020.

Table 9 below shows the capital positions reported by insurance brokers.

Table 9: Reported Capital Levels for Insurance Brokers

Name of Insurance Company	30-Sep-20	30-Sep-19
1. Ambassador Insurance Brokers*	-	102,701
2. Amour Khan Insurance Brokers	1,887,623	153,254
3. Auto & General Insurance Brokers*	-	392,300
4. Broksure Insurance Brokers	4,324,624	92,904
5. Capitol Insurance Brokers	22,193,415	1,827,546
6. Care Insurance Brokers	1,998,839	446,262
7. CBZ Risk	28,563,346	1,692,490
8. Coverlink Insurance Brokers	1,818,515	66,182
9. Eaton & Youngs (Private) Limited	45,943,703	625,330
10. Eureka Insurance Brokers	10,512,448	531,660
11. Entwide	1,830,144	129,417
12. First Link Insurance Brokers	31,639,370	-
13. First Sun Alliance	22,800,132	419,191
14. Glenrand MIB Zimbabwe	20,822,031	343,299
15. Goldstick Insurance Brokers	3,343,686	242,259
16. Hostcare Insurance Brokers*	-	243,914
17. HRIB (Private) Limited	5,569,606	2,364,748
18. Hunt Adams & Associates	11,513,615	551,314
19. L. A. Guard Insurance Brokers	10,498,559	283,995
20. Marsh Insurance Brokers	34,879,557	1,353,193
21. Minerva Risk Solutions	50,380,710	3,804,358
22. Momentum Insurance Brokers	6,706,675	739,971
23. Paul Mkondo Insurance Brokers	15,625,361	176,495
24. Perpro Insurance Brokers	5,693,512	269,554
25. Progressive Insurance Brokers	2,700,634	269,554
26. Rainbow Insurance Brokers	19,286	15,551
27. Revival Insurance Brokers*	-	482,000
28. SATIB Insurance Brokers	15,315,940	1,272,636
29. TIB Insurance Brokers	7,173,479	242,984
30. WFDR Risk Services	23,682,513	1,178,836
31. Victory Insurance Brokers	5,792,930	778,251
32. Zimbabwe Insurance Brokers	25,386,782	560,519

KEY

*Entity did not submit quarterly returns

The broker reported a capital position that was above the requirement of ZWL1, 500, 000.

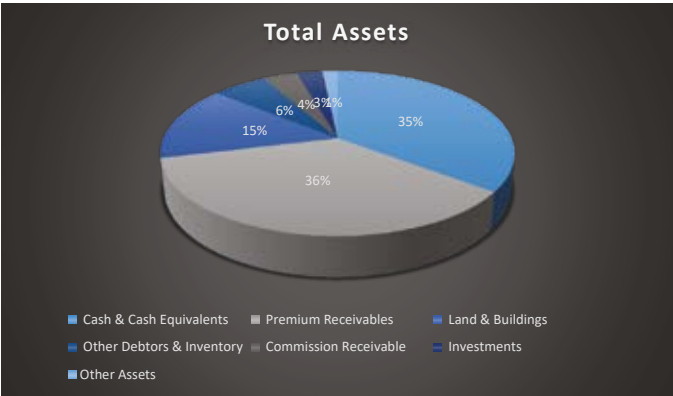
The broker reported a capital position that was below the requirement of ZWL1, 500, 000.

4.3. Asset Quality

Total assets for the insurance brokers moved from ZWL114.1 million as at 30 September 2019 to ZWL957.23 million as at 30 September 2020. The significant increase in assets was on account of asset revaluations and growth in response to inflationary trends. The asset base for insurance brokers is skewed towards cash and cash equivalents, premium receivables and land and buildings accounting for 35%, 36% and 15% of the total assets respectively. The distribution of assets

across different asset classes is shown in Figure 18 below.

Figure 18: Insurance Broker's breakdown of Total Assets as at 30 September 2020



The Commission is concerned by the continued increase in premium debtors at the expense of profitable deployment of the resources. Brokers are, therefore, urged to employ effective underwriting modalities to avoid tying significant resources in premium debtors, ensure the settlement of claims as they fall due and minimise the repudiation of claims as we rebuild confidence in the sector. Insurance brokers are encouraged to preserve value of their assets as they determine the financial strength of their balance sheets.

4.4. Earnings

Insurance brokers` after tax profit amounted to ZWL146.13 million, reflecting 809% increase from ZWL16.08 million reported for the comparative period in 2019. The significant drivers of the increase were currency reforms which culminated in inflationary pressures thereby driving premium increases for short-term insurers. The industry average return on equity (ROE) and return on assets (ROA) for the reporting period were 35% and 15% respectively. Six brokers reported negative after tax profits during the period under review while four recorded

nil balances as they did not submit their returns.

4.5. Market Share for Insurance Brokers

For the third quarter ended 30 September 2020, Minerva Risk Solutions dominated the market in terms of both business written and brokerage income. Figure 19 below shows the market share for the top ten insurance brokers in terms of net brokerage commission (NBC) and gross premium written.

Figure 19: Insurance Brokers' Market Share in Terms of NBC and GPW as at 30 September 2020



Section G

5. Reinsurance Brokers

Section G

5.1. Business Written

i Zimbabwe Dollar denominated business

Gross premium by reinsurance brokers increased by just over 671% from ZWL181.78 million reported up to the third quarter in 2019 to ZWL1.401 billion during the cumulative period to 30 September 2020. The average commission ratio for reinsurance brokers declined by 11 percentage points from 19% recorded for the third quarter ending 30 September 2019 to 8% during the comparative period in 2020. Table 10 below shows the key indicators of business written by reinsurance brokers.

Table 10: Indicators of Business Written by Reinsurance Brokers

Indicator	30-Sept-2020 (ZWL)	30-Sept-2019 (ZWL)	Percentage change
Premium Written	1,401,302,645	181,775,981	671%
Premium Payable	1,286,450,312	146,644,426	777%
Brokerage Commission	114,852,333	35,131,554	227%
Commission Paid	64,350,445	29,423,481	119%
Net Brokerage Commission	50,501,888	5,708,073	785%
Other Income	3,523,854	179,025	1868%
Operating Expenses	33,092,111	3,902,100	748%
Profit Before Tax	20,933,631	1,984,998	955%
Taxation	967,368	468,563	106%
Profit After Tax	19,966,263	1,516,434	1217%

ii Foreign currency denominated business

Of the 7 reinsurance brokers only two filed their foreign currency denominated business returns. The total premium written in United States dollars amounted to \$93.69 million and Commission was 27%. Table 11 shows the key indicators of business written by reinsurance brokers in foreign currency.

Table 11: Indicators of Business Written by Reinsurance Brokers

Indicator	30-Sept-2020 (ZWL)
Premium Written	93,692,500
Premium Payable	68,481,476
Brokerage Commission	25,211,024
Commission Paid	24,727,817
Net Brokerage Commission	483,207
Other Income	0
Operating Expenses	130,399
Profit Before Tax	352,808
Taxation	90,197
Profit After Tax	262,610

5.2. Capitalisation

One out of the seven registered reinsurance brokers reported a capital position which was below minimum capital requirements of ZWL1, 500, 000 as at 30 September 2020. Table 12 below shows the capital positions reported by all reinsurance brokers.

Table 12 : Capitalisation Levels for Reinsurance Brokers

Name of Reinsurance Broker	30-Sept-20 (\$)	30-Sept-19 (\$)
1. Afro-Asian Reinsurance Brokers	2,267,200	307,948
2. Capitol Reinsurance Brokers	3,102,309	266,923
3. Classic Reinsurance Brokers	8,996,581	2,470,283
4. Marsh Reinsurance Brokers	4,827,014	349,252
5. Minerva Re (Private) Limited	33,968,080	4,416,008
6. Pan African Re	5,544,880	476,486
7. Reinsurance Brokers International	516,232	278,438

Key:

	The broker reported a capital position that was above the requirement of ZWL1, 500, 000.
	The broker reported a capital position that was below the requirement of ZWL1, 500, 000.

The non-compliant entities are advised to ensure implementation of their capital compliance roadmaps which should bring them to compliance.

5.3. Asset Quality

The reinsurance brokers reported total assets amounting to ZWL735.09 million as at 30 September 2020, reflecting an increase from ZWL277.23 million reported during the same period in 2019. The asset distribution for reinsurance brokers included land and buildings, furniture and fittings, motor

vehicles, property and equipment, investments and cash.

5.4. Earnings for Reinsurance Brokers

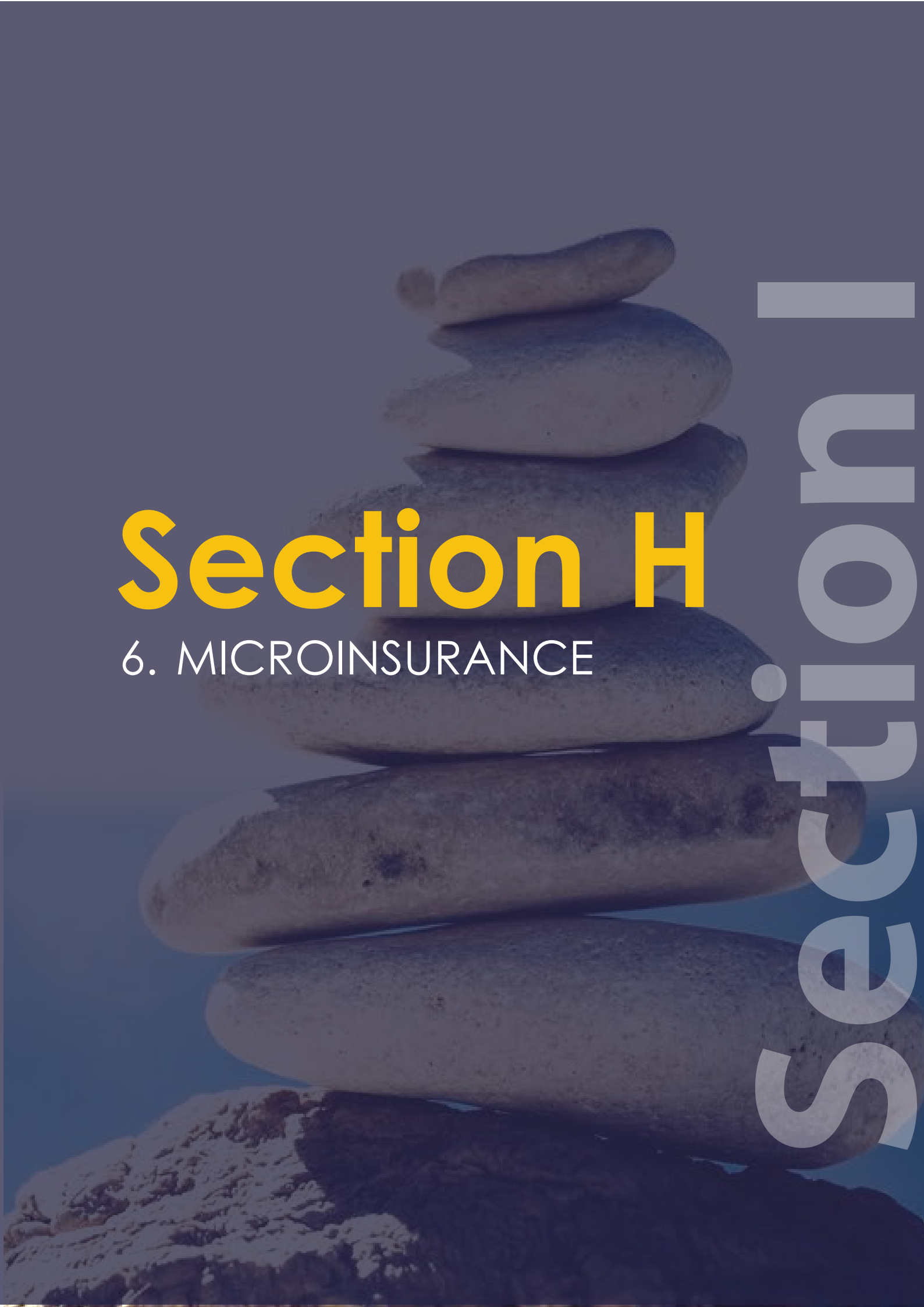
Total profit after tax for reinsurance brokers increased from ZWL1.52 million reported as at 30 September 2019 to ZWL19.97 million, translating to growth of over 1000% for the period under review.

5.5. Market Share for Reinsurance Brokers

Minerva Re (Private) Limited remained dominant in terms of business written, net brokerage commission and total assets for the reinsurance broking market throughout the period ending 30 September 2020. The market share for all the reinsurance brokers for the period under review is as shown in Table 13 below.

Table 13: Market Share for Reinsurance Brokers: 30 September 2020

Name of Reinsurance Broker	Net Brokerage Commission	Premium Written	Total Assets
1. Afro-Asian Reinsurance Brokers	3.60%	1.67%	2.23%
2. Capitol Reinsurance Brokers	6.32%	5.50%	4.90%
3. Classic Reinsurance Brokers	1.10%	0.05%	1.22%
4. Marsh Reinsurance Brokers	10.58%	16.64%	3.01%
5. Minerva Re (Private) Limited	65.24%	63.52%	79.35%
6. Pan African Re	12.82%	12.22%	8.32%
7. Reinsurance Brokers International	0.33%	0.39%	0.97%
Total	100%	100%	100%



Section H

6. MICROINSURANCE

Section I

There are two micro-insurance companies registered with IPEC. These are Coverlink Microinsurance and Golden Knot Microinsurance. Golden Knot only became operational during the third quarter of 2020 and has not been included in the report.

6.1. Gross Premium written

The reported business by Coverlink relate to their Zimbabwe Dollar denominated business only. The total Gross premium written by Coverlink Microinsurance amounted to ZWL11.57 million during the current reporting period.

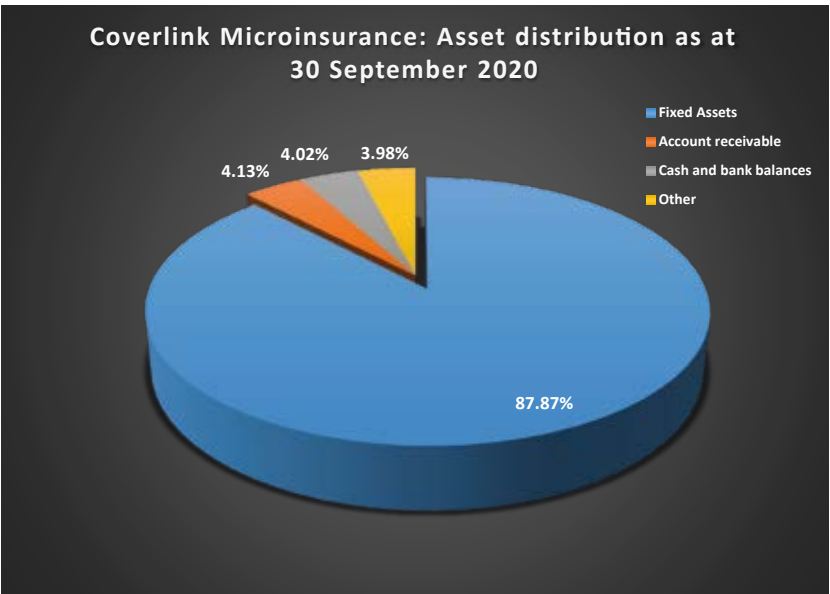
6.2. Capitalisation

The microinsurer is compliant with the minimum capital requirement for ZWL4.5 million with a capital position of ZWL19.83 million.

6.3. Assets Quality

The microinsurer reported an asset base of ZWL28.75 million as at 30 September 2020. The contribution of various asset classes to total assets as at 30 September 2020 is shown in Figure 20 below:

Figure 20: Contribution of various assets



Earnings

The microinsurer reported a loss of ZWL474 during the period ending 30 September 2020.

6.5. Liquidity

Cash and near cash assets in the form of cash at hand and bank and short-term investments amounted to ZWL3.29 million as at 30 September 2020.

A smiling man in a dark suit and blue tie is pointing his right index finger towards a document on a table. A woman's head is visible in the foreground on the left, looking towards the man. The background is a plain, light-colored wall.

Section I

7. COMPLAINTS HANDLING

Section I

7.1. Complaints Handled

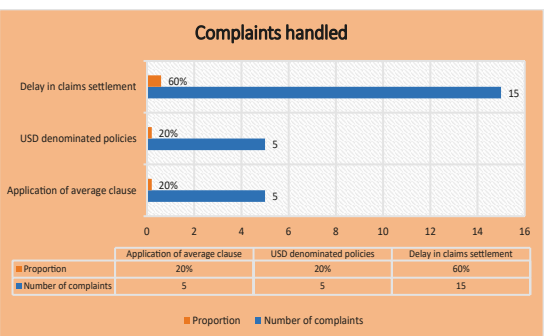
A total of 25 complaints were received in the period under review, of which 20 were resolved and 5 were still under investigation.

The major source of complaints was the delay in settlement of claims (15), followed by the application of the average condition and USD-denominated policies both at five (5).

The delay in settlement of claims was attributed to investigations by respective insurers where there were suspicions of fraudulent claims or where there was insufficient documentation to enable claim settlement.

The graph below shows the distribution of the complaints received.

Figure 21: Complaints Handled



With respect to complaints related to application of the condition of average, the Commission noted that there is an education gap as policyholders still expect the insurer to advise them to review asset values in line with changes in the operating environment. Insurers are encouraged to sensitise policyholders about the importance of regularly reviewing their asset values and paying appropriate premiums to avoid disappointment at claiming stage.

Meanwhile, the Commission also educates policyholders about the need for them to carefully read the

terms and conditions of their policy documents so that they are aware of their duties and responsibilities. Regarding complaints related to USD-denominated policies written at the beginning of 2019 but affected by Statutory Instrument 142 of June 2019, the cases are being dealt with in terms of the Revaluation Guideline for the insurance and pensions Industry on adjusting insurance and pension values in response to the currency reforms that was issued to the industry.

The Commission also handled two complaints against short-term insurance brokers. Both complaints related to delay in settlement of claims. The claims were settled after the Commission's intervention. As the regulator, we encourage brokers to advise policyholders that they are expected to lodge claims through their brokers and not with the underwriter directly.

A close-up, slightly blurred photograph of a man in a dark suit and a blue and white striped tie. He is holding a silver pen in his right hand, poised to write on a document. The document is white with some blue lines visible. The background is out of focus, showing more of the man's suit and tie.

APPENDIX

APPENDIX

Appendix 1A

Comprehensive Income for Short-Term Insurers as at 30 September 2020

	Alliance	Allied	CBZ	Insurance Company		Champions	Clarion	Credsure	Econet	Evolution	EGGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total
				Promoter	Cell Business															
Gross Premium Written	250 247 063	23 068 038	278 681 491	844 421 459	133 008 480	49 631 947	100 152 349	44 391 787	482 324 408	58 912 200	58 627 516	185 202 841	24 767 527	646 241 027	521 596 433	19 404 000	19 643 551	19 172 811	870 388 952	4 629 883 881
Reinsurance Premium	112 906 453	10 709 727	182 906 264	771 014 288	76 859	8 633 194	659 686	25 577 218	50 834 392	16 803 566	2 763 779	108 695 408	556 322	337 297 115	143 902 344	6 333 000	1 678 246	969 528	744 177 290	2 526 494 680
Net Premium Written	137 340 610	12 358 311	95 775 227	73 407 171	132 931 621	40 998 753	99 492 663	18 814 569	431 490 016	42 108 634	55 863 737	76 507 433	24 211 205	308 943 912	377 694 089	13 071 000	17 965 305	18 203 284	126 211 662	2 103 389 201
Increase/(Decrease) in UPR	17 301 083	6 377 617	26 390 313	18 241 761	56 740 418	4 099 743	22 260 635	1 135 339	191 949 681	9 403 000	5 659 140	13 267 066	4 740 621	30 927 874	63 982 056	1 358 000	(379 121)	6 146 207	22 396 433	501 997 866
Net Earned Premium	120 039 526	5 980 694	69 384 914	55 165 410	76 191 203	36 899 010	77 232 028	17 679 230	239 540 335	32 705 634	50 204 597	63 240 367	19 470 584	278 016 038	313 712 033	11 713 000	18 344 426	12 057 077	103 815 229	1 601 391 335
Net Incurred Claims	76 099 890	2 796 643	24 397 374	23 816 894	14 104 232	7 913 888	9 132 572	3 354 562	47 109 501	18 712 896	8 744 331	36 043 966	2 136 823	115 272 359	137 820 663	684 000	298 425	1 182 406	26 410 912	556 032 337
Net Commission Incurred	4 145 336	(1 102 249)	(1 329 815)	(27 870 333)	-	(1 895 116)	49 519 423	2 857 381	22 375 264	4 391 934	2 909 422	3 678 357	2 936 297	9 674 666	25 741 677	90 000	3 459 675	2 120 856	(49 409 459)	52 293 315
Technical Result	39 794 301	4 286 300	46 317 355	59 218 849	62 086 971	30 880 238	18 580 033	11 467 287	170 055 570	9 600 804	38 550 844	23 518 044	14 397 464	153 069 013	150 149 693	10 939 000	14 586 326	8 753 815	126 813 776	993 065 683
Operating Expenses	52 659 572	7 001 234	42 788 698	51 450 028	200	28 965 774	16 196 951	17 041 099	63 655 882	9 994 469	16 733 344	89 615 504	15 478 187	101 757 103	143 827 071	8 716 000	3 540 550	13 022 844	83 737 678	766 182 187
Underwriting Result	(12 865 272)	(2 714 934)	3 528 657	7 754 994	62 086 771	1 914 464	2 383 083	(5 573 812)	106 399 689	(393 665)	21 817 500	(66 097 460)	(1 080 723)	51 311 910	6 335 474	2 225 000	11 045 776	(4 269 029)	43 076 098	226 883 496
Investment Income	75 057	(506 169)	211 554	432 628	-	-	77 583	4 656 348	6 783 824	(2 247 870)	384 445	269 879	4 977 232	371 911 918	(186 915)	20 654 000	539 118	-	-	408 032 632
Unrealised Gains/(Losses)	25 493 819	166 501 020	32 149 019	34 608 981	88 919 663	(8 722 359)	4 696 217	24 673 252	147 191 268	-	12 778 143	87 324 604	-	(11 774 419)	441 076 527	-	-	193 175 937	191 807 603	1 429 899 274
Other Income/(Expenses)	3 681 234	5 805 132	(4 413 891)	38 626 982	(21 732 993)	5 869 136	-	305 176	-	5 032 114	4 192 509	7 860 749	-	37 211 105	-	316 000	-	4 147 487	991 579	87 892 319
Profit/(Loss) Before Tax	16 384 837	169 085 049	31 475 339	81 423 585	129 273 441	(938 759)	7 156 883	24 060 964	260 374 780	2 390 579	39 172 597	29 357 772	3 896 509	448 660 514	447 225 086	23 195 000	11 584 893	193 054 395	235 875 280	2 152 707 721
Taxation	-	4 029 698	(497 950)	20 151 972	-	1 775 261	1 842 892	5 947 871	40 299 966	-	-	(6 014 828)	584 477	115 265 656	11 180 916	3 891 000	2 615 290	-	5 885 106	206 957 327
Profit/(Loss) After Tax	16 384 837	165 055 351	31 973 289	61 271 613	129 273 441	(2 714 020)	5 313 991	18 113 093	220 074 814	2 390 579	39 172 597	35 372 600	3 312 032	333 394 858	436 044 170	19 304 000	8 969 603	193 054 395	229 990 174	1 945 750 394
Dividends	-	-	-	-	-	-	-	-	-	-	-	-	-	69 331 840	-	-	200 000	-	-	69 531 840
Retained Income	16 384 837	165 055 351	31 973 289	61 271 613	129 273 441	(2 714 020)	5 313 991	18 113 093	220 074 814	2 390 579	39 172 597	35 372 600	3 312 032	264 063 018	436 044 170	19 304 000	8 769 603	193 054 395	229 990 174	1 876 218 554

Appendix 1C

Key Performance Indicators (KPIs) for Short-Term Insurers as at 30 September 2020

Appendix 1C: Key Performance Indicators for Non-life Insurers																				
	Alliance	Allied	CBZ	Cell	Cell Business	Champions	Oarion	Credsure	Econet	Evolution	EGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total/ Average
Capital Adequacy																				
Capital Position (\$000)	107 164	203 254	147 017	116 000	150 624	47 084	47 960	129 951	313 498	78 629	83 024	82 180	296 643	375 489	550 690	116 768	79 417	231 424	284 348	191 176
Capital Maintenance Ratio (CMR)	312,11%	6578,68%	614,01%	632,09%	453,24%	459,37%	192,82%	2762,78%	290,62%	746,91%	594,47%	429,66%	4900,93%	486,16%	583,21%	3573,35%	1768,24%	5085,33%	901,18%	654,40%
Equity/Total Assets Ratio	23,86%	88,07%	31,51%	27,79%	69,28%	58,30%	56,83%	82,22%	45,99%	41,88%	78,63%	26,85%	97,22%	40,64%	61,77%	93,07%	93,90%	94,26%	35,58%	50,90%
Solvency Margin	78,03%	1644,67%	153,50%	158,02%	113,31%	114,84%	48,20%	690,70%	72,65%	186,73%	148,62%	107,41%	1225,23%	121,54%	145,80%	893,34%	442,06%	1271,33%	225,29%	163,60%
Asset Quality																				
Total Assets (\$000)	449 180	230 778	466 567	417 345	217 415	80 763	84 384	158 061	681 653	187 750	105 593	306 059	305 124	923 886	891 519	125 461	84 579	245 513	799 176	6 760 799
Interest Generating Assets to Total Assets	43,21%	9,28%	11,16%	21,12%	60,18%	12,52%	21,38%	19,04%	35,11%	34,60%	23,19%	54,58%	94,36%	25,85%	75,59%	31,80%	2,94%	1,89%	28,16%	37,17%
Non-Interest Generating Assets/Total Assets	56,79%	90,72%	88,84%	73,93%	39,82%	85,77%	78,44%	80,36%	64,89%	65,40%	76,81%	45,42%	5,64%	73,65%	24,41%	68,19%	97,06%	3,58%	71,84%	58,98%
Fixed Assets/Total Assets	18,58%	85,38%	31,78%	9,18%	0,00%	62,25%	55,80%	73,46%	6,65%	14,27%	30,86%	13,35%	4,59%	38,11%	2,29%	63,78%	93,74%	1,52%	3,44%	20,75%
Prescribed Assets Ratio	0,66%	0,68%	2,26%	1,31%	0,23%	7,26%	4,82%	0,06%	1,76%	0,51%	2,36%	2,19%	0,00%	7,64%	19,68%	0,01%	0,19%	0,02%	3,50%	4,90%
Premium Debtors/Gross Premium	24,50%	33,66%	43,90%	21,19%	65,09%	26,74%	6,96%	21,60%	65,77%	148,22%	53,85%	50,22%	8,00%	37,50%	22,26%	2,76%	14,16%	18,19%	15,20%	32,73%
Premium Debtors/Total Assets	13,65%	3,36%	26,22%	42,88%	39,82%	16,43%	8,26%	6,07%	46,54%	46,51%	29,90%	30,39%	0,65%	26,23%	13,02%	0,43%	3,29%	1,42%	16,55%	22,41%
Reinsurance																				
Risk Retention Ratio	54,88%	53,57%	34,37%	8,69%	99,94%	82,61%	99,34%	42,38%	89,46%	71,48%	95,29%	41,31%	97,75%	47,81%	72,41%	67,36%	91,46%	94,94%	14,50%	45,43%
Reinsurance Creditors/Reinsurance Premium	97,11%	13,67%	41,81%	21,60%	0,00%	39,67%	0,00%	47,80%	131,43%	526,56%	5,59%	151,93%	-29,15%	77,20%	0,00%	4,71%	91,77%	89,23%	13,41%	41,68%
Reinsurers' Share of O/S Claims to O/S	69,75%	86,91%	312,45%	0,00%	0,00%	0,00%	32,28%	60,00%	0,00%	0,00%	0,00%	20,01%	1,03%	0,00%	134,16%	85,25%	0,00%	0,00%	473,45%	182,64%
Reinsurers Debtors/Reinsurance Creditors	70,57%	200,53%	156,93%	0,00%	0,00%	0,00%	0,00%	3,46%	0,00%	0,00%	0,00%	1,30%	-11,53%	0,00%	0,00%	104,70%	0,00%	0,00%	360,66%	61,25%
Actuarial																				
UPR (\$000)	58 304	8 398	148 750	22 626	61 685	5 156	28 006	1 564	216 795	13 696	9 320	16 820	5 078	55 064	161 289	2 035	536	8 443	172 868	996 432
IBNR (\$000)	15 304	683	5 782	2 956	-	3 811	5 601	1 881	17 587	1 619	5 442	4 493	1 263	27 504	30 017	128	268	1 138	75 831	201 308
Net Outstanding Claims	33 552	442	(81 599)	5 743	5 273	499	803	282	13 589	104	136	8 559	1 793	23 152	(20 732)	54	202	260	(283 981)	(291 867)
Liquid Assets/Total Reserves	178,70%	224,88%	50,11%	247,38%	179,74%	89,74%	52,41%	385,47%	47,44%	44,70%	129,09%	433,11%	3216,38%	189,87%	106,46%	509,83%	246,65%	47,00%	-575,33%	179,57%
Liquid Assets/(Outstanding Claims+IBNR)	391,96%	1903,35%	-48,21%	890,85%	2282,38%	197,09%	281,61%	664,12%	377,35%	399,95%	344,77%	991,28%	8560,53%	396,25%	1955,84%	6210,44%	527,62%	330,83%	-97,52%	-1796,25%
Assets/Total Reserves	419,17%	2423,33%	639,72%	1332,32%	324,70%	853,20%	245,23%	4240,30%	274,89%	1217,67%	708,75%	1024,60%	3751,47%	873,90%	522,66%	5659,04%	8402,90%	2494,75%	-2265,13%	746,33%
Earnings																				
Profit After Tax (\$000)	16 385	165 055	31 973	61 272	129 273	(2 714)	5 314	18 113	220 075	2 391	39 173	35 373	3 312	333 395	436 044	19 304	8 970	193 054	229 990	1 945 750
Return on Equity	29,20%	161,09%	42,04%	101,96%	169,26%	-10,82%	21,43%	27,62%	137,52%	5,83%	90,90%	84,01%	2,15%	167,47%	157,87%	32,23%	22,12%	165,72%	157,25%	110,20%
Return on Assets	6,81%	141,30%	13,41%	28,87%	117,36%	-6,16%	11,95%	22,39%	63,46%	2,48%	71,77%	22,89%	1,99%	69,51%	97,58%	29,50%	20,74%	155,21%	56,47%	56,02%
Loss Ratio	63,40%	46,76%	35,16%	43,17%	18,51%	21,45%	11,82%	18,97%	19,67%	57,22%	17,42%	57,00%	10,97%	41,46%	43,93%	5,84%	1,63%	9,81%	25,44%	34,72%
Net Commission Ratio	3,45%	-18,43%	-1,92%	-50,52%	0,00%	-5,14%	64,12%	16,16%	9,34%	13,43%	5,80%	5,82%	15,08%	3,48%	8,21%	0,77%	18,86%	17,59%	-47,59%	3,27%
Net Expense Ratio	43,87%	117,06%	61,67%	93,27%	0,00%	78,50%	20,97%	96,39%	26,57%	30,56%	33,33%	141,71%	79,50%	36,60%	45,85%	74,41%	19,30%	108,01%	80,66%	47,84%
Combined Ratio	110,72%	145,39%	94,91%	85,92%	18,51%	94,81%	96,91%	131,53%	55,58%	101,20%	56,54%	204,52%	105,55%	81,54%	97,98%	81,02%	39,79%	135,41%	58,51%	85,83%
Underwriting Margin	-10,72%	-45,39%	5,09%	14,06%	81,49%	5,19%	3,09%	-31,53%	44,42%	-1,20%	43,46%	-104,52%	-5,55%	18,46%	2,02%	19,00%	60,21%	-35,41%	41,49%	14,17%
Investment Income/NPW Ratio	18,62%	1343,18%	33,79%	47,74%	66,89%	-21,27%	4,80%	155,89%	35,68%	-5,34%	23,56%	114,49%	20,56%	116,57%	116,73%	158,01%	3,00%	1061,21%	151,97%	87,38%
Investment Income/Total Financial Assets	13,00%	775,10%	47,88%	35,45%	62,92%	-74,33%	26,46%	64,01%	42,65%	-1,83%	44,27%	42,78%	1,58%	130,04%	37,81%	30,15%	21,72%	4164,86%	77,64%	54,06%
Liquidity																				
Working Capital (\$000)	47 797	8 298	19 981	134 836	140 135	9 169	8	(2 176)	183 648	(13 437)	49 283	38 240	256 711	1 786	79 033	4 878	129	(1 011)	309 389	1 266 697
Current ratio	137,20%	137,18%	151,73%	115,40%	309,81%	71,27%	100,74%	91,54%	142,07%	87,69%	300,21%	102,51%	3129,08%	92,80%	146,03%	157,54%	102,49%	68,83%	478,97%	156,16%
Acid Test ratio	72,36%	87,09%	18,32%	25,71%	180,19%	25,22%	50,04%	52,03%	32,59%	6,32%	85,21%	58,35%	3091,38%	36,60%	70,01%	134,88%	48,10%	32,83%	131,21%	60,99%
Market Shares																				
Market Share Based on GWP	5,41%	0,50%	6,02%	21,11%	2,87%	1,07%	2,16%	0,96%	10,42%	1,27%	1,27%	4,00%	0,53%	13,96%	11,27%	0,42%	0,42%	0,41%	18,80%	100%
Market Share Based on NPW	6,53%	0,59%	4,55%	9,81%	6,32%	1,95%	4,73%	0,89%	20,51%	2,00%	2,66%	3,64%	1,15%	14,69%	17,96%	0,62%	0,85%	0,87%	6,00%	100%
Market Share Based on Total Assets	6,64%	3,41%	6,90%	9,39%	3,22%	1,19%	1,25%	2,34%	10,08%	2,78%	1,56%	4,53%	4,51%	13,67%	13,19%	1,86%	1,25%	3,63%	11,82%	100%

Appendix 2A

Statement of Comprehensive Income for Short-term Reinsurers as at 30 September 2020

	Emeritus Re	FBC Re	FM RE	Grand Re	Tropical Re	WAICA Re	ZB Re	Zep - Re	Total
Gross Premium Written	380 825 040	234 134 502	113 354 262	534 506 462	79 895 542	525 133 730	104 953 849	85 142 587	2 057 945 974
Retrocession Premium	86 534 555	19 093 895	62 703 591	345 918 509	10 867 373	50 403 688	5 098 384	9 995 987	590 615 982
Net Premium Written	294 290 485	215 040 607	50 650 671	188 587 953	69 028 169	474 730 042	99 855 465	75 146 600	1 467 329 992
Increase/(Decrease) in UPR	100 497 803	83 995 443	3 211 632	20 788 949	8 349 358	228 777 654	3 001 606	14 373 100	462 995 545
Net Earned Premium	193 792 682	131 045 164	47 439 039	167 799 004	60 678 811	245 952 388	96 853 859	60 773 500	1 004 334 447
Net Incurred Claims	126 712 962	75 113 070	25 535 277	75 844 233	36 046 068	141 449 810	55 270 748	41 203 327	577 175 495
Net Commission Incurred	40 461 896	36 070 054	7 882 927	34 103 689	18 393 823	120 200 067	27 533 104	18 206 036	302 851 597
Technical Result	26 617 823	19 862 040	14 020 835	57 851 082	6 238 920	(15 697 489)	14 050 007	1 364 137	124 307 355
Operating Expenses	40 885 940	126 921 902	54 242 272	38 667 176	3 640 729	41 407 621	5 517 154	-	311 282 793
Underwriting Result	(14 268 117)	(104 259 294)	(40 221 437)	19 183 906	2 598 191	(57 105 110)	8 532 854	1 364 137	(184 174 870)
Investment Income	8 224 419	915 396	12 815 608	1 449 479	916 479	3 477 905	122 544 975	-	150 344 261
Unrealised Gains/(Losses)	121 579 456	543 199 730	94 642 753	94 054 566	-	209 249 418	165 166 060	-	1 227 891 983
Other Income/(Expenses)	-	4 268 984	33 346 906	686 330	110 057	8 538	-	-	38 420 815
Profit/(Loss) Before Tax	115 535 758	444 124 816	100 583 830	115 374 281	3 624 727	155 630 751	296 243 889	1 364 137	1 232 482 189
Taxation	(8 048 391)	109 003 806	3 224 161	447 039	-	-	-	-	104 626 615
Profit/(Loss) After Tax	123 584 149	335 121 010	97 359 669	114 927 242	3 624 727	155 630 751	296 243 889	1 364 137	1 127 855 574
Dividends	-	-	-	843 836	-	-	-	-	843 836
Retained Income	123 584 149	335 121 010	97 359 669	114 083 406	3 624 727	155 630 751	296 243 889	1 364 137	1 127 011 738

Appendix 2A (1)
Statement of Comprehensive Income for Short-term Reinsurers as at 30 September 2020 (foreign currency denominated business business)

	Emeritus Re	FBC Re	FM RE	Grand Re	Tropical Re	WAICA Re	ZB Re	Zep - Re	Total
Gross Premium Written	4 554 329	3 600 600			7 274 762		7 264 090	11 116 555	33 810 336
Retrocession Premium	1 250 075	59 531			3 088 505		2 790 657	7 875 780	15 064 548
Net Premium Written	3 304 254	3 541 069	-	-	4 186 257	-	4 473 433	3 240 775	18 745 788
Increase/(Decrease) in UPR	982 345				217 323		63 532	403 766	1 666 966
Net Earned Premium	2 321 909	3 541 069	-	-	3 968 934	-	4 409 901	2 837 009	17 078 822
Net Incurred Claims	1 631 695	1 083 103			1 354 500		3 312 303	1 452 949	8 834 550
Net Commission Incurred	594 239	646 208			1 165 290		1 021 826	813 356	4 240 919
Technical Result	95 975	1 811 758	-	-	1 449 144	-	75 772	570 704	4 003 353
Operating Expenses					238 136	-	522 675	1 310 511	2 071 322
Underwriting Result	95 975	1 811 758	-	-	1 211 008	-	(446 903)	(739 807)	1 932 031
Investment Income						-		600 275	600 275
Unrealised Gains/(Losses)						-			-
Other Income/(Expenses)	-					-	-	-	-
Profit/(Loss) Before Tax	95 975	1 811 758	-	-	1 211 008	-	(446 903)	(139 532)	2 532 306
Taxation	-		-			-		-	-
Profit/(Loss) After Tax	95 975	1 811 758	-	-	1 211 008	-	(446 903)	(139 532)	2 532 306
Dividends	-	-	-		-	-	-	-	-
Retained Income	95 975	1 811 758	-	-	1 211 008	-	(446 903)	(139 532)	2 532 306

Appendix 2B – Statement of Financial Position for Short Reinsurers as at 30 September 2020

	Emeritus Re	FBC Re	FM RE	Grand Re	Tropical Re	WAICA Re	ZB Re	Zep - Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	3 429 012	7 227 846	1 216 842	10 170 039	23 366 505	32 735 140	169 022 822	21 034 460	268 202 666
Equities	358 419 896	343 356 781	191 120 535	5 143 119	97 147	48 898	64 185 784	-	962 372 160
Investments in Associated Companies	25 510 313	1 626 016	-	-	201 388 765	-	-	-	228 525 094
Long Term Prescribed Assets	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	8 139 362	59 553	-	-	4 033 807	1 555 735	-	-	13 788 457
	395 498 583	352 270 196	192 337 377	15 313 158	228 886 223	34 339 773	233 208 606	21 034 460	1 472 888 376
Technical Assets									
Retrocessionaires' Share of Outstanding Claims	59 567 176	4 728 999	-	140 434 522	40 432 447	-	-	-	245 163 144
Deferred Acquisition Cost	41 219 437	28 988 684	3 411 217	12 170 720	10 096 194	25 537 689	-	18 953 270	140 377 210
	100 786 613	33 717 683	3 411 217	152 605 242	50 528 640	25 537 689	-	18 953 270	385 540 354
Current Assets									
Cash & cash equivalents	138 720 376	423 033 857	217 028 230	95 938 477	260 934 781	39 806 593	385 360 466	78 954 532	1 639 777 312
Money Market Investments	68 460 286	-	-	-	1 001 189	-	-	-	69 461 475
Current Prescribed Assets	216 118	3 589 719	501 951	16 234 379	-	-	21 157 365	902 897 448	944 596 980
Premium Receivables	231 847 841	69 324 553	88 106 915	256 563 101	61 265 949	193 563 450	24 953 293	265 166 571	1 190 791 674
Other Current Assets	107 584 441	586 396	3 300 070	3 998 179	39 251 832	352 133 493	824 526	(155 350 483)	352 328 454
	546 829 062	496 534 525	308 937 166	372 734 136	362 453 751	585 503 536	432 295 650	1 091 668 068	4 196 955 895
TOTAL ASSETS	1 043 114 258	882 504 404	504 685 760	540 652 536	641 868 614	645 380 998	665 504 256	1 131 655 798	6 055 366 624
LIABILITIES									
Deferred Tax Liabilities	-	7 760 379	(648 617)	14 145 447	69 625 691	1 402 837	(5 398 350)	-	86 887 387
Long Term Loan	-	-	-	-	-	-	-	-	-
Current Tax provisions	43 231	108 746 108	-	-	52 789 032	30 922 252	49 821 189	-	242 321 812
Gross Outstanding Claims	95 960 636	67 954 011	18 975 043	162 999 004	48 968 735	24 601 789	20 491 641	198 476 148	638 427 006
IBNR	34 246 109	4 900 251	13 929 262	17 560 145	12 236 551	18 989 203	73 597 350	-	175 458 871
UPR	109 918 503	99 324 842	11 890 068	46 487 583	50 480 947	236 310 148	60 556 947	69 399 342	684 368 381
Retrocession Creditors	120 952 189	69 421 812	209 269 481	102 625 241	78 228 133	78 765 685	-	-	659 262 541
Other Creditors	98 658 484	107 774 151	70 921 842	19 611 419	3 757 791	33 055 714	9 637 824	-	343 417 225
TOTAL LIABILITIES	459 779 152	465 881 554	324 337 079	363 428 839	316 086 880	424 047 628	208 706 601	267 875 490	2 830 143 223
SHAREHOLDERS' EQUITY									
Share Capital	568 000	900 000	708	600 000	55	10 200	5 000	-	2 083 963
Share Premium	32 258 182	42 703 332	72 782 954	5 187 659	409 944	6 101 018	2 495 000	-	161 938 089
Revaluation & Other Reserves	431 762 575	6 182 623	-	5 381 909	55 444 493	3 874 939	12 769 705	-	515 416 244
Retained Profit	118 746 349	366 836 889	107 564 938	166 054 130	269 406 191	211 347 209	441 527 950	863 580 307	2 545 063 963
Shareholders's Equity	583 335 106	416 622 844	180 348 600	177 223 698	325 260 683	221 333 366	456 797 655	863 580 307	3 224 502 259
TOTAL EQUITY & LIABILITIES	1 043 114 258	882 504 398	504 685 679	540 652 537	641 868 614	645 380 994	665 504 256	1 131 455 797	6 055 166 624

Appendix 2C – Key Performance Indicators for Short Reinsurers as at 30 September 2020

	Emeritus Re	FBC Re	FM RE	Grand Re	Tropical Re	WAICA Re	ZB Re	Zep - Re	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position (\$ 000)	583 335	416 623	180 349	177 224	325 261	221 333	456 798	863 580	403 063
Capital Maintenance Ratio (CMR)	792,87%	774,97%	1424,25%	375,90%	1884,80%	186,49%	1829,84%	4596,78%	879,01%
Equity/Total Assets Ratio	55,92%	47,21%	35,73%	32,78%	50,67%	34,29%	68,64%	76,31%	53,25%
Solvency Margin	198,22%	193,74%	356,06%	93,97%	471,20%	46,62%	457,46%	1149,19%	219,75%
Asset Quality									
Total Assets (\$ 000)	1 043 114	882 504	504 686	540 653	641 869	645 381	665 504	1 131 656	6 055 367
Investments to Assets	54,24%	87,25%	80,97%	21,70%	40,82%	6,18%	70,73%	86,76%	63,49%
Non-Interest Generating Assets/Total Assets	42,53%	12,56%	19,03%	78,30%	27,17%	93,58%	29,27%	13,24%	36,28%
Fixed Assets/Total Assets	0,33%	0,82%	0,24%	1,88%	3,64%	5,07%	25,40%	1,86%	4,43%
Prescribed Assets Ratio	0,02%	0,42%	0,10%	4,18%	0,00%	0,00%	3,18%	81,14%	16,70%
Premium Debtors/Gross Premium	60,88%	29,61%	77,73%	48,00%	76,68%	36,86%	23,78%	311,44%	57,86%
Premium Debtors/Total Assets	22,23%	7,86%	17,46%	47,45%	9,54%	29,99%	3,75%	23,43%	19,67%
Retrocession									
Risk Retention Ratio	77,28%	91,84%	44,68%	35,28%	86,40%	90,40%	95,14%	88,26%	71,30%
Retrocession Creditors/Retrocession Premium	139,77%	363,58%	333,74%	29,67%	719,84%	156,27%	0,00%	0,00%	111,62%
Retrocessionaires' Share of O/S Claims to O/S	62,07%	6,96%	0,00%	86,16%	82,57%	0,00%	0,00%	0,00%	38,40%
Actuarial									
UPR	109 919	99 325	11 890	46 488	50 481	236 310	60 557	69 399	684 368
IBNR	34 246	4 900	13 929	17 560	12 237	18 989	73 597	-	175 459
Net Outstanding Claims	36 393	63 225	18 975	22 564	8 536	24 602	20 492	198 476	393 264
Liquid Assets/Total Reserves	114,86%	254,78%	485,62%	129,51%	367,61%	14,22%	262,87%	366,53%	211,78%
Liquid Assets/(Outstanding Claims+IBNR)	293,60%	626,23%	661,10%	279,56%	1260,95%	91,32%	432,06%	494,70%	466,63%
Total Assets/Total Reserves	577,72%	527,03%	1126,67%	624,22%	900,82%	230,57%	430,34%	422,46%	483,23%
Earnings									
Profit After Tax (000)	123 584	335 121	97 360	114 927	3 625	155 631	296 244	1 364	1 127 856
Return on Equity	40,10%	160,42%	100,84%	123,30%	2,19%	137,75%	126,92%	0,31%	68,28%
Return on Assets	22,64%	75,67%	37,05%	41,28%	1,11%	47,56%	87,02%	0,24%	36,45%
Loss Ratio	65,39%	57,32%	53,83%	45,20%	59,40%	57,51%	57,07%	67,80%	57,47%
Net Commission Ratio	20,88%	27,52%	16,62%	20,32%	30,31%	48,87%	28,43%	29,96%	30,15%
Net Expense Ratio	21,10%	96,85%	114,34%	23,04%	6,00%	16,84%	5,70%	0,00%	30,99%
Combined Ratio	107,36%	181,70%	184,79%	88,57%	95,72%	123,22%	91,19%	97,76%	118,62%
Investment Income/NPW Ratio	44,11%	253,03%	212,16%	50,64%	1,33%	44,81%	288,13%	0,00%	93,93%
Investment Income/Total Financial Assets	22,94%	70,67%	26,30%	81,41%	0,35%	533,75%	61,12%	0,00%	38,11%
Liquidity									
Working Capital	286 495	172 145	58 933	181 522	100 653	220 049	233 227	842 746	2 095 770
Current ratio	161,82%	114,98%	96,30%	235,58%	149,82%	144,10%	207,13%	414,60%	177,27%
Acid Test ratio	51,82%	92,51%	67,07%	50,30%	95,02%	9,39%	194,78%	366,53%	102,66%
Market Share of Total Liquid Assets	7,81%	16,08%	8,20%	4,23%	9,87%	1,50%	15,32%	37,00%	100%
Market Shares									
Market Share Based on GPW	18,51%	11,38%	5,51%	25,97%	3,88%	25,52%	5,10%	4,14%	100%
Market Share Based on NPW	20,06%	14,66%	3,45%	12,85%	4,70%	32,35%	6,81%	5,12%	100%
Market Share Based on Total Assets	17,23%	14,57%	8,33%	8,93%	10,60%	10,66%	10,99%	18,69%	100%

Appendix 3A Statement of Comprehensive Income for Insurance Brokers for the quarter ended 30 September 2020 (ZWL000)

	Ambassad	Amour	Auto &	Broksure	Capitol	Care	CBZ	Coverlink	Eaton &	Entwide	First link	First Sun A	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt	L.A. Guard	Marsh	Minerva R	Moment	Paul Mko	Perpro	Progressiv	Rainbow	Revival	Safari	TIB	WFDR	Victory	ZIB	Total
Premium Written	0	772	0	4,685	75,254	15,843	134,675	1,397	85,086	3,157	425,933	85,086	37,479	13,635	2,240	0	152,487	84,862	15,235	216,865	525,057	56,847	1,618	5,197	17,599	248	0	104,206	34,839	131,567	12,896	132,492	2,377,259
Premium Payable	0	663	0	3,827	63,175	13,368	114,570	1,170	71,313	2,513	379,355	71,313	30,122	10,788	1,897	0	128,894	73,784	12,898	191,872	444,784	45,619	1,391	4,241	13,570	217	0	82,936	28,048	108,252	10,955	111,751	2,023,284
Brokerage Commission	0	110	0	858	12,079	2,475	20,105	227	13,772	644	46,579	13,772	7,358	2,847	343	0	23,593	11,078	2,336	24,993	80,274	11,228	227	956	4,030	32	0	21,270	6,792	23,315	1,941	20,741	353,975
less Commission paid	0	0	0	0	0	0	287	0	319	0	0	319	0	142	48	0	5,807	3,367	0	1,190	0	0	-227	598	81	0	0	0	0	57	0	0	11,988
Net Brokerage Commission	0	110	0	858	12,079	2,475	19,818	227	13,454	644	46,579	13,454	7,358	2,705	295	0	17,785	7,711	2,336	23,803	80,274	11,228	453	359	3,948	32	0	21,270	6,792	23,259	1,941	20,741	341,987
Other Income	0	0	0	0	3,207	241	16,562	8	591	0	0	591	2,331	686	0	0	148	10	7,660	7	55	994	672	1,035	0	0	0	17,421	927	9,384	1,196	2,335	66,062
Admin Expenses	0	365	0	776	9,740	2,803	14,629	392	9,301	623	5,058	9,301	5,454	2,673	221	0	16,441	7,912	592	9,739	42,300	6,910	788	529	4,545	28	0	39,328	5,767	10,608	2,531	10,743	220,094
Profit Before Tax	0	-256	0	82	5,546	-88	21,751	-157	4,745	20	41,521	4,745	4,235	718	75	0	1,493	-191	9,404	14,071	38,029	5,312	337	865	-596	4	0	-637	1,952	22,035	606	12,333	187,955
Taxation	0	0	0	0	213	28	5,506	0	0	0	10,380	0	921	107	29	0	369	0	2,382	2,407	9,793	1,381	0	279	0	0	0	519	0	4,275	129	3,111	41,830
Profit after Tax	0	-256	0	82	5,333	-116	16,245	-157	4,745	20	31,141	4,745	3,313	611	46	0	1,124	-191	7,023	11,664	28,237	3,931	337	586	-596	4	0	-1,156	1,952	17,760	477	9,222	146,125

Appendix 3B Statement of Financial Position for Insurance Brokers as at 30 September 2020 (ZWL000)

	Ambassador	AmourKhan	Auto & General	Broksure	Capitol	Care	COC	Coverlink	Easton & Youngs	Eureka	Enwide	Firstlink	FirstSun Alliance	Glenland	Goldrick	Hostcare	HRB	Hunt Adams	LA Guard	Marsh	Minerva - Risk Solutions	Momentum	P.Mikondo	Pepero	Progressive	Rainbow	Revital	Safari	TIB	WFOR	Victory	ZIB	TOTAL	
Equity and Liabilities																																		
Equity																																		
Share Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
Authorised Share Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
Issued and Paid Up Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
Share Capital	-	32	-	500	116	98	0	30	100	50	900	100	0	50	0	-	0	1	100	5	0	100	200	40	120	15	-	1	1,500	2	0	50	4,110	
Share Premium	-	-	-	-	-	79	1,345	147	-	629	-	-	624	1,298	-	-	1	275	1,610	-	-	-	13,233	-	-	-	-	-	-	-	5,316	-	24,557	
Non-Distributable Reserves	-	1,856	-	2,572	15,188	1,556	-	1,938	5,192	3,818	905	3,783	16,435	1,173	3,298	-	6,000	262	1,610	412	455	924	1,855	1,923	3,315	-	-	16,189	4,308	48	-	14,435	109,468	
Retained Income	-	-	-	1,252	6,890	266	27,218	296	40,652	6,015	26	27,756	5,741	18,302	46	-	450	10,976	7,179	34,462	49,925	5,683	337	3,731	795	4	-	874	1,966	23,633	477	10,901	280,482	
Owners Equity	-	1,888	-	4,325	22,193	1,999	28,563	1,819	45,944	10,512	1,830	31,639	22,800	20,822	3,344	-	5,570	11,514	10,499	34,880	50,381	6,707	15,625	5,694	2,701	19	-	15,316	7,173	23,683	5,799	25,387	418,617	
Non-current liabilities (Specify them)																																		
Deferred tax	-	-	-	-	207	4	207	-	9	-	-	-	1,442	476	1,100	-	75	-	2,773	-	-	-	-	-	-	-	-	-	8	2,200	-	2,733	11,234	
Bank overdraft	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	8,200	-	-	-	-	12	-	-	-	-	-	-	-	-	-	8,212	
Borrowings	-	-	-	-	-	-	-	16	-	-	-	-	-	-	27	-	-	286	-	-	-	14	-	-	451	411	-	33,290	-	-	-	-	34,496	
Current liabilities																																		
Payable Premiums	-	857	-	2,628	9,258	853	137,090	264	66	2,185	36	-	110,589	569	29	-	744	10,246	2,573	11,385	71,095	6,262	34	-	2,480	-	-	17,140	4,974	49,800	244	15,170	456,512	
Other Liabilities	-	-	-	19	-	58	-	18	-	145	28	-	-	-	-	-	3,469	-	-	-	-	1,122	69	-	-	-	-	-	8,180	-	-	-	13,108	
Brokers commission payable	-	-	-	-	-	-	223	-	-	-	-	-	-	-	-	-	134	331	-	-	-	-	-	-	-	-	-	-	224	-	-	-	912	
Provisions	-	-	-	-	386	-	2,313	4	-	-	-	-	-	192	-	-	377	-	-	4,845	1,418	-	-	-	-	-	-	-	118	-	-	-	9,654	
Sundry creditors	-	393	-	-	101	-	0	-	-	2,084	-	-	-	148	-	-	307	2,254	-	-	8,592	-	-	-	-	320	-	-	363	1,269	-	266	16,118	
Taxation	-	-	-	-	-	-	826	-	1,205	921	-	-	-	97	-	-	54	-	539	-	-	-	-	103	-	-	-	777	-	-	-	2,293	4,406	
Other	-	237	-	-	256	-	5,848	42	-	-	-	-	-	-	15	-	2,964	-	-	4,079	-	-	-	-	-	-	-	-	510	-	-	-	13,950	
Total Current Liabilities	-	1,487	-	2,647	10,002	912	146,301	328	1,139	5,335	64	-	110,589	1,006	43	-	8,069	12,851	3,112	28,902	72,453	7,384	103	103	2,800	-	-	26,098	6,189	51,069	244	17,729	514,660	
Total Equity & Liabilities	-	3,374	-	6,972	32,403	2,915	175,071	2,163	44,814	15,847	1,895	31,639	134,831	22,305	4,514	-	13,713	32,831	16,384	63,781	122,833	14,104	15,728	5,808	5,952	490	-	74,703	13,371	76,952	6,037	45,849	987,219	
Assets																																		
Non - Current Assets																																		
Property and Equipment	-	-	-	-	-	0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	117	-	-	-	-	-	-	-	-	-	-	118	
Land & Buildings	-	1,525	-	-	9,888	1,561	121	1,652	4,709	4,960	625	-	14,438	16,953	4,480	-	6,500	14,829	-	2,000	-	-	11,016	-	2,851	400	-	16,200	-	76	1,450	14,749	130,983	
Furniture and Fittings	-	256	-	362	1,331	14	62	22	-	285	20	277	304	266	-	-	267	401	387	36	1,124	17	2,420	256	204	6	-	575	39	372	634	1,114	11,052	
Motor Vehicles	-	366	-	507	2,352	-	28	244	-	0	201	2,825	810	1,834	-	-	163	4,405	1,000	39	550	642	713	1,050	308	15	-	6,480	4,028	166	1,440	2,958	33,123	
Computer Equipment	-	363	-	379	1,889	38	97	15	475	944	11	196	209	235	5	-	118	155	603	13	279	31	448	238	55	5	-	313	31	19	267	1,977	9,408	
Computer Software	-	190	-	10	-	-	67	-	-	-	6	463	122	-	-	-	-	-	500	0	-	67	-	834	13	-	-	-	-	250	480	-	3,001	
Investments	-	-	-	2,500	6,764	156	1,131	-	801	-	1,022	-	188	1,218	-	-	-	-	8,956	-	-	-	95	-	81	-	-	-	-	-	840	1,435	25,187	
Other	-	-	-	-	-	-	1,653	-	-	-	-	69	-	-	-	-	38	-	1,756	-	-	-	515	-	-	-	-	3,122	-	-	652	-	7,805	
Total Non-Current Assets	-	2,699	-	3,757	22,224	1,769	3,158	1,934	5,985	6,189	1,884	3,630	16,089	20,507	4,485	-	7,049	19,829	11,447	3,844	1,953	874	14,693	2,882	3,512	426	-	26,690	4,098	884	5,763	22,234	220,076	
Current Assets																																		
Commission Receivable	-	6	-	-	-	110	-	-	-	-	3	-	1,412	-	-	-	-	-	2,431	8,585	13,761	745	-	-	1,137	-	-	-	-	-	72	5,095	33,357	
Premium Receivables	-	-	-	2,491	-	-	134,288	-	7,078	-	-	-	114,944	951	-	-	981	2,637	543	-	-	-	-	-	-	-	-	14,731	1,504	44,008	-	-	321,139	
Accrued Investment Income	-	-	-	-	-	-	-	-	-	-	2	-	-	-	-	-	668	-	-	7,681	-	3,954	-	1,625	-	-	-	-	-	-	-	48	-	13,976
Other Debtors & Inventory	-	-	-	-	887	-	4,899	628	322	1,367	-	-	-	-	-	-	289	181	1,573	1,123	11,705	3,455	74	575	1,165	-	-	14,695	235	8,528	118	1,197	53,355	
Cash & Cash Equivalents	-	670	-	723	9,292	1,036	32,786	399	3,413	5,887	6	27,809	2,405	847	29	-	4,727	10,194	390	42,547	95,414	5,077	962	716	138	4	-	18,587	10,978	23,132	37	17,423	314,729	
Total Current Assets	-	675	-	3,215	10,179	1,145	171,913	229	10,813	7,254	11	27,809	118,762	1,798	29	-	6,665	13,002	4,997	59,997	120,880	13,230	1,035	2,917	2,440	4	-	48,013	9,709	76,068	274	23,615	736,558	
Total Assets	-	3,374	-	6,972	32,403	2,915	175,071	2,163	16,798	13,443	1,895	31,639	134,831	22,305	4,514	-	13,713	32,831	16,384	63,781	122,833	14,104	15,728	5,808	5,952	490	-	74,703	13,807	76,952	6,037	45,849	957,234	

Appendix 1B

Statement of Financial Position for Short-Term Insurers as at 30 September 2020

	Alliance	Allied	CBZ	Cell Insurance Company		Champions	Clarion	Gedure	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total
				Promoter	Cell Business															
ASSETS																				
Non-Current Assets																				
Fixed Assets	83 477 854	197 045 439	148 272 055	38 309 077	-	50 276 881	47 090 277	116 105 529	45 309 249	26 791 020	32 586 937	40 856 807	14 018 474	352 063 822	20 436 368	80 020 000	79 288 491	3 721 661	27 485 777	1 403 155 718
Equities	2 612 827	-	15 520 344	10 672 365	10 488 143	1 619 942	1 999	15 724 182	121 672 117	58 074 492	5 250 465	37 683 813	26 313 406	38 108 847	492 270 021	28 599 000	-	6 420	22 033 734	886 652 117
Investments In Associated Companies	-	-	-	20 621 023	-	1 375 925	160 000	954 254	-	-	-	-	-	4 586 600	-	-	-	232 087 680	-	259 785 482
Long Term Prescribed Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Non-Current Assets						3 487 370	823 218	-	1 819 491	7 200 000		207 547	-	20 238 354		3 632 000			8 711 488	46 119 468
	86 090 681	197 045 439	163 792 399	69 602 465	10 488 143	56 760 118	48 075 495	132 783 965	168 800 857	92 065 512	37 837 402	78 748 167	40 331 880	414 997 623	512 706 389	112 251 000	79 288 491	235 815 761	58 230 999	2 595 712 785
Technical Assets																				
Reinsurers' Share of Outstanding Claims	77 368 241	2 935 375	120 007 816	-	-	-	382 876	423 139	-	-	-	2 141 297	18 701	-	81 422 474	312 000	-	-	360 022 798	645 034 717
Deferred Acquisition Cost/UCR	11 660 888	2 295 329	20 716 409	63 242 698	-	1 031 199	5 372 420	430 109	69 832 285	32 283	(153 885)	149 270	1 005 183	11 337 904	11 895 649	738 000	26 800	844 305	(6 162 717)	194 294 130
	89 029 129	5 230 704	140 724 225	63 242 698	-	1 031 199	5 755 297	853 248	69 832 285	32 283	(153 885)	2 290 567	1 023 884	11 337 904	93 318 123	1 050 000	26 800	844 305	353 860 081	839 328 848
Current Assets																				
Cash & cash equivalents	186 445 515	19 371 724	29 187 841	72 865 383	119 852 984	2 956 102	14 252 125	14 268 551	106 926 815	5 720 592	13 699 466	122 711 506	261 602 622	132 579 689	24 510 145	11 293 000	2 324 568	4 575 390	64 551 835	1 209 695 853
Money Market Investments	2 672 240	64 499	-	-	-	-	33 215	-	-	253 977	3 032 858	-	-	-	-	-	-	-	123 155 511	129 212 300
Current Prescribed Assets	2 377 697	1 979 617	7 360 000	4 625 478	499 916	5 538 254	3 750 000	100 000	10 716 432	917 480	2 500 000	6 662 576	-	68 146 126	157 089 742	10 000	158 125	50 000	15 277 420	287 758 863
Premiums Receivable	61 301 241	7 764 267	122 337 552	178 962 124	86 573 506	13 272 241	6 971 559	9 587 632	317 222 093	87 321 912	31 570 624	93 007 967	1 980 412	242 362 548	116 087 656	535 000	2 781 252	3 487 827	132 281 341	1 515 408 754
Other Current Assets	21 263 753	(677 884)	3 164 612	28 047 223	-	1 204 668	5 546 798	467 378	8 154 349	1 438 182	17 106 757	2 637 931	185 701	54 462 422	(12 192 806)	314 000	-	739 377	51 818 675	183 681 136
	274 060 446	28 502 223	162 050 005	284 500 208	206 926 406	22 971 265	30 553 698	24 423 561	443 019 689	95 652 143	67 909 705	225 019 980	263 768 735	497 550 785	285 494 737	12 152 000	5 263 945	8 852 594	387 084 782	3 325 756 907
TOTAL ASSETS	449 180 256	230 778 366	466 566 629	417 345 371	217 414 549	80 762 582	84 384 489	158 060 774	681 652 831	187 749 938	105 593 222	306 058 714	305 124 499	923 886 312	891 519 249	125 461 000	84 579 236	245 512 660	799 175 862	6 760 798 540
LIABILITIES																				
Deferred Tax Liabilities	21 123 872	6 993 997	13 766 410	187 694	(166 760)	13 069	163 030	-	6 889 393	5 220 975	-	(5 023 262)	-	125 806 393	41 980 850	3 891 000	-	1 354	5 467 080	226 315 095
Long Term loan	-	-	-	-	-	-	-	-	7 161 256	-	-	-	-	-	-	-	-	-	108 196	7 269 452
Current Tax provisions		4 518 357	(387 439)	14 862 358	-	1 929 469	1 344 389	11 075 749	7 530 803	-	3 420 106	(3 054 816)	91 880	15 199 330	5 803 049	1 606 000	2 615 290	-	1 524 768	68 079 293
Gross Outstanding Claims	110 920 307	3 377 624	38 409 247	5 742 829	5 273 140	409 243	1 186 140	705 231	13 588 892	103 812	136 215	10 699 898	1 811 683	23 152 275	60 690 343	366 000	202 486	260 124	76 042 231	353 167 720
IBNR	15 303 530	682 920	5 782 220	2 955 744	-	3 810 738	5 601 199	1 881 457	17 587 307	1 619 405	5 442 080	4 492 573	1 262 934	27 503 892	30 017 122	128 000	268 063	1 137 991	75 830 568	201 307 694
UPR	58 304 440	8 398 016	148 749 753	22 626 126	61 684 576	5 155 861	28 005 995	1 564 036	216 795 137	13 695 606	9 320 250	16 819 852	5 077 543	55 063 832	161 288 505	2 035 000	535 998	8 443 051	172 868 262	996 431 838
Reinsurance Creditors	109 640 413	1 463 830	76 472 989	166 531 972	-	3 424 600	-	12 226 761	66 812 846	88 481 338	154 557	165 136 435	(162 177)	260 377 370	-	298 000	1 540 117	865 105	99 822 911	1 053 087 067
Other Liabilities	26 723 707	2 090 076	36 756 935	88 438 380	-	18 846 011	124 183	583 273	31 788 853		4 096 108	34 808 457	399 150	41 294 278	41 049 758	368 000	-	3 380 758	83 163 358	413 911 285
TOTAL LIABILITIES	342 016 269	27 524 819	319 550 115	301 345 103	66 790 956	33 678 991	36 424 936	28 036 507	368 154 487	109 121 136	22 569 266	223 879 137	8 481 013	548 397 370	340 829 627	8 692 000	5 161 955	14 088 383	514 827 374	3 319 569 444
SHAREHOLDERS' EQUITY																				
Share Capital	300 986	30 350	78 199	3 924 127	-	381 501	1 494 922	24 646	100	2 350 000	1 500 000	1 000	500 000	2 999 927	300 000	230 000	4 249 497	100 000	2 500 000	20 965 255
Share Premium	-	1 090 179	22 833 978	-	-	-	-	4 924 287	37 299 900	7 338	12 598 633	2 799 500	1 500 000	12 827 559	-	603 000	-	2 152 434	52 509	98 689 317
Revaluation & Other Reserves	56 559 019	3 150 587	81 388 456	17 342 974	-	45 502 620	39 422 208	106 141 385	46 240 879	67 910 173	29 480 297	35 156 020	269 394 600	497 618	2 614 990	82 367 000	42 361 761	105 000	2 449 436	928 085 023
Retained Profit	50 304 485	198 982 431	42 715 883	94 733 167	150 623 592	1 199 469	7 042 443	18 861 124	229 957 465	8 361 290	39 445 026	44 223 075	25 248 885	359 163 834	547 774 631	33 568 000	32 806 023	229 066 844	279 346 548	2 393 424 216
Shareholders's Equity	107 164 490	203 253 547	147 016 516	116 000 268	150 623 592	47 083 590	47 959 573	129 951 442	313 498 344	78 628 801	83 023 956	82 179 595	296 643 485	375 488 938	550 689 621	116 768 000	79 417 281	231 424 278	284 348 493	3 441 163 811
					266 623 860															
TOTAL EQUITY & LIABILITIES	449 180 759	230 778 366	466 566 631	417 345 371	217 414 548	80 762 581	84 384 509	157 987 949	681 652 831	187 749 937	105 593 222	306 058 732	305 124 498	923 886 308	891 519 248	125 461 000	84 579 236	245 512 661	799 175 867	6 760 798 540

Appendix 1C

Key Performance Indicators (KPIs) for Short-Term Insurers as at 30 September 2020

Appendix 1C: Key Performance Indicators for Non-life Insurers																				
	Alliance	Allied	CBZ	Cell	Cell Business	Champions	Orion	Gedsure	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total/ Average
Capital Adequacy																				
Capital Position (\$000)	107 164	203 254	147 017	116 000	150 624	47 084	47 960	129 951	313 498	78 629	83 024	82 180	296 643	375 489	550 690	116 768	79 417	231 424	284 348	191 176
Capital Maintenance Ratio (CMR)	312,11%	6578,68%	614,01%	632,09%	453,24%	459,37%	192,82%	2762,78%	290,62%	746,91%	594,47%	429,66%	4900,93%	486,16%	583,21%	3573,35%	1768,24%	5085,33%	901,18%	654,40%
Equity/Total Assets Ratio	23,86%	88,07%	31,51%	27,79%	69,28%	58,30%	56,83%	82,22%	45,99%	41,88%	78,63%	26,85%	97,22%	40,64%	61,77%	93,07%	93,90%	94,26%	35,58%	50,90%
Solvency Margin	78,03%	1644,67%	153,50%	158,02%	113,31%	114,84%	48,20%	690,70%	72,65%	186,73%	148,62%	107,41%	1225,23%	121,54%	145,80%	893,34%	442,06%	1271,33%	225,29%	163,60%
Asset Quality																				
Total Assets (\$000)	449 180	230 778	466 567	417 345	217 415	80 763	84 384	158 061	681 653	187 750	105 593	306 059	305 124	923 886	891 519	125 461	84 579	245 513	799 176	6 760 799
Interest Generating Assets to Total Assets	43,21%	9,28%	11,16%	21,12%	60,18%	12,52%	21,38%	19,04%	35,11%	34,60%	23,19%	54,58%	94,36%	25,85%	75,59%	31,80%	2,94%	1,89%	28,16%	37,17%
Non-Interest Generating Assets/Total Assets	56,79%	90,72%	88,84%	73,93%	39,82%	85,77%	78,44%	80,36%	64,89%	65,40%	76,81%	45,42%	5,64%	73,65%	24,41%	68,19%	97,06%	3,58%	71,84%	58,98%
Fixed Assets/Total Assets	18,58%	85,38%	31,78%	9,18%	0,00%	62,25%	55,80%	73,46%	6,65%	14,27%	30,86%	13,35%	4,59%	38,11%	2,29%	63,78%	93,74%	1,52%	3,44%	20,75%
Prescribed Assets Ratio	0,66%	0,88%	2,26%	1,31%	0,23%	7,26%	4,82%	0,06%	1,76%	0,51%	2,36%	2,19%	0,00%	7,64%	19,68%	0,01%	0,19%	0,02%	3,50%	4,90%
Premium Debtors/Gross Premium	24,50%	33,66%	43,90%	21,19%	65,09%	26,74%	6,96%	21,60%	65,77%	148,22%	53,85%	50,22%	8,00%	37,50%	22,26%	2,76%	14,16%	18,19%	15,20%	32,73%
Premium Debtors/Total Assets	13,65%	3,36%	26,22%	42,88%	39,82%	16,43%	8,26%	6,07%	46,54%	46,51%	29,90%	30,39%	0,65%	26,23%	13,02%	0,43%	3,29%	1,42%	16,55%	22,41%
Reinsurance																				
Risk Retention Ratio	54,88%	53,57%	34,37%	8,69%	99,94%	82,61%	99,34%	42,38%	89,46%	71,48%	95,29%	41,31%	97,75%	47,81%	72,41%	67,36%	91,46%	94,94%	14,50%	45,43%
Reinsurance Creditors/Reinsurance Premium	97,11%	13,67%	41,81%	21,60%	0,00%	39,67%	0,00%	47,80%	131,43%	526,56%	5,59%	151,93%	-29,15%	77,20%	0,00%	4,71%	91,77%	89,23%	13,41%	41,68%
Reinsurers' Share of O/S Claims to O/S	69,75%	86,91%	312,45%	0,00%	0,00%	0,00%	32,28%	60,00%	0,00%	0,00%	0,00%	20,01%	1,03%	0,00%	134,16%	85,25%	0,00%	0,00%	473,45%	182,64%
Reinsurers Debtors/Reinsurance Creditors	70,57%	200,53%	156,93%	0,00%	0,00%	0,00%	0,00%	3,46%	0,00%	0,00%	0,00%	1,30%	-11,53%	0,00%	0,00%	104,70%	0,00%	0,00%	360,66%	61,25%
Actuarial																				
UPR (\$000)	58 304	8 398	148 750	22 626	61 685	5 156	28 006	1 564	216 795	13 696	9 320	16 820	5 078	55 064	161 289	2 035	536	8 443	172 868	996 432
IBNR (\$000)	15 304	683	5 782	2 956	-	3 811	5 601	1 881	17 587	1 619	5 442	4 493	1 263	27 504	30 017	128	268	1 138	75 831	201 308
Net Outstanding Claims	33 552	442	(81 599)	5 743	5 273	499	803	282	13 589	104	136	8 559	1 793	23 152	(20 732)	54	202	260	(283 981)	(291 867)
Liquid Assets/Total Reserves	178,70%	224,88%	50,11%	247,38%	179,74%	89,74%	52,41%	385,47%	47,44%	44,70%	129,09%	433,11%	3216,38%	189,87%	106,46%	509,83%	246,65%	47,00%	-575,33%	179,57%
Liquid Assets/(Outstanding Claims+IBNR)	391,96%	1903,35%	-48,21%	890,85%	2282,38%	197,09%	281,61%	664,12%	377,35%	399,95%	344,77%	991,28%	8560,53%	396,25%	1955,84%	6210,44%	527,62%	330,83%	-97,52%	-1796,25%
Assets/Total Reserves	419,17%	2423,33%	639,72%	1332,32%	324,70%	853,20%	245,23%	4240,30%	274,89%	1217,67%	708,75%	1024,60%	3751,47%	873,90%	522,66%	5659,04%	8402,90%	2494,75%	-2265,13%	746,33%
Earnings																				
Profit After Tax (\$000)	16 385	165 055	31 973	61 272	129 273	(2 714)	5 314	18 113	220 075	2 391	39 173	35 373	3 312	333 395	436 044	19 304	8 970	193 054	229 990	1 945 750
Return on Equity	29,20%	161,09%	42,04%	101,96%	169,26%	-10,82%	21,43%	27,62%	137,52%	5,83%	90,90%	84,01%	2,15%	167,47%	157,87%	32,23%	22,12%	165,72%	157,25%	110,20%
Return on Assets	6,81%	141,30%	13,41%	28,87%	117,36%	-6,16%	11,95%	22,39%	63,46%	2,48%	71,77%	22,89%	1,99%	69,51%	97,58%	29,50%	20,74%	155,21%	56,47%	56,02%
Loss Ratio	63,40%	46,76%	35,16%	43,17%	18,51%	21,45%	11,82%	18,97%	19,67%	57,22%	17,42%	57,00%	10,97%	41,46%	43,93%	5,84%	1,63%	9,81%	25,44%	34,72%
Net Commission Ratio	3,45%	-18,43%	-1,92%	-50,52%	0,00%	-5,14%	64,12%	16,16%	9,34%	13,43%	5,80%	5,82%	15,08%	3,48%	8,21%	0,77%	18,86%	17,59%	-47,59%	3,27%
Net Expense Ratio	43,87%	117,06%	61,67%	93,27%	0,00%	78,50%	20,97%	96,39%	26,57%	30,56%	33,33%	141,71%	79,50%	36,60%	45,85%	74,41%	19,30%	108,01%	80,66%	47,84%
Combined Ratio	110,72%	145,39%	94,91%	85,92%	18,51%	94,81%	96,91%	131,53%	55,58%	101,20%	56,54%	204,52%	105,55%	81,54%	97,98%	81,02%	39,79%	135,41%	58,51%	85,83%
Underwriting Margin	-10,72%	-45,39%	5,09%	14,06%	81,49%	5,19%	3,09%	-31,53%	44,42%	-1,20%	43,46%	-104,52%	-5,55%	18,46%	2,02%	19,00%	60,21%	-35,41%	41,49%	14,17%
Investment Income/NPW Ratio	18,62%	1343,18%	33,79%	47,74%	66,89%	-21,27%	4,80%	155,89%	35,68%	-5,34%	23,56%	114,49%	20,56%	116,57%	116,73%	158,01%	3,00%	1061,21%	151,97%	87,38%
Investment Income/Total Financial Assets	13,00%	775,10%	47,88%	35,45%	62,92%	-74,33%	26,46%	64,01%	42,65%	-1,83%	44,27%	42,78%	1,58%	130,04%	37,81%	30,15%	21,72%	4164,86%	77,64%	54,06%
Liquidity																				
Working Capital (\$000)	47 797	8 298	19 981	134 836	140 135	9 169	8	(2 176)	183 648	(13 437)	49 283	38 240	256 711	1 786	79 033	4 878	129	(1 011)	309 389	1 266 697
Current ratio	137,20%	137,18%	151,73%	115,40%	309,81%	71,27%	100,74%	91,54%	142,07%	87,69%	300,21%	102,51%	3129,08%	92,80%	146,03%	157,54%	102,49%	68,83%	478,97%	156,16%
Acid Test ratio	72,36%	87,09%	18,32%	25,71%	180,19%	25,22%	50,04%	52,03%	32,59%	6,32%	85,21%	58,35%	3091,38%	36,60%	70,01%	134,88%	48,10%	32,83%	131,21%	60,99%
Market Shares																				
Market Share Based on GWP	5,41%	0,50%	6,02%	21,11%	2,87%	1,07%	2,16%	0,96%	10,42%	1,27%	1,27%	4,00%	0,53%	13,96%	11,27%	0,42%	0,42%	0,41%	18,80%	100%
Market Share Based on NWP	6,53%	0,59%	4,55%	9,81%	6,32%	1,95%	4,73%	0,89%	20,51%	2,00%	2,66%	3,64%	1,15%	14,69%	17,96%	0,62%	0,85%	0,87%	6,00%	100%
Market Share Based on Total Assets	6,64%	3,41%	6,90%	9,39%	3,22%	1,19%	1,25%	2,34%	10,08%	2,78%	1,56%	4,53%	4,51%	13,67%	13,19%	1,86%	1,25%	3,63%	11,82%	100%

Appendix 4A
Statement of Comprehensive Income for Reinsurance Brokers for the quarter ended 30 September 2020 (ZWL000)

	Afro - Asian	Capitol Re	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Gross Premium Receivable	23,452,768.03	77,139,737.24	663,018.63	233,181,531.53	890,124,975.70	171,226,452.00	5,514,161.91	1,401,302,645.04
Gross Premium Payable	21,635,461.05	73,949,404.31	105,473.74	163,488,483.62	857,175,691.62	164,750,241.00	5,345,556.91	1,286,450,312.25
Brokerage Commission	1,817,306.98	3,190,332.93	557,544.89	69,693,047.91	32,949,284.08	6,476,211.00	168,605.00	114,852,332.79
less Commission paid	-	-	-	64,350,445.14	-	-	-	64,350,445.14
Net Brokerage Commission	1,817,306.98	3,190,332.93	557,544.89	5,342,602.77	32,949,284.08	6,476,211.00	168,605.00	50,501,887.65
Other Income	366,124.57	858,202.71	366,480.00	13,212.95	10,317.00	1,863,637.00	45,880.00	3,523,854.23
Less Administration expenses	1,557,617.83	1,872,648.27	965,155.85	1,502,375.52	20,121,497.00	6,969,138.00	103,678.19	33,092,110.66
Profit Before Tax	625,813.72	2,175,887.37	- 41,130.96	3,853,440.20	12,838,104.08	1,370,710.00	110,806.81	20,933,631.22
Taxation	-	141,252.00	-	952,570.42	-	- 154,156.00	27,701.70	967,368.12
Profit after Tax	625,813.72	2,034,635.37	- 41,130.96	2,900,869.78	12,838,104.08	1,524,866.00	83,105.11	19,966,263.10

Appendix 4B

Statement of Financial Position for Reinsurance Brokers as at 30 September 2020 (ZWL000)

	Afro - Asian	Capitol Re	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Equity and Liabilities								
Equity								
Share Capital								
Authorised Share Capital	12,000.00	2,000.00	-	-	-	-	-	-
Issued and Paid Up Capital	1,000.00	2,000.00	-	-	-	-	-	-
Share Capital	266,539.00	2,000.00	2,000,000.00	-	4.00	1,000.00	200,000.00	2,469,543.00
Share Premium	48,440.00	118,638.00	5,200,000.00	-	-	70,000.00	48,781.00	5,485,859.00
Non-Distributable Reserves	36,565.00	735,287.37	1,884,102.00	-	9,267.00	-	100,000.00	2,765,221.37
Retained Income	1,915,656.00	2,246,384.00	87,520.96	4,827,014.00	33,958,809.00	5,473,880.00	167,451.00	48,501,673.04
Owners Equity	2,267,200.00	3,102,309.37	8,996,581.04	4,827,014.00	33,968,080.00	5,544,880.00	516,232.00	59,222,296.41
Non-current liabilities: (Specify them)								
Deffered tax	377,276.26	50,381.00	-	-	-	-	-	427,657.26
Bank overdraft	-	-	-	-	-	-	-	-
Borrowings	-	-	-	-	-	-	-	-
Current liabilities								
Payable Premiums	12,654,432.35	30,685,853.46	-	16,240,207.71	517,922,875.79	53,508,761.00	5,707,829.00	636,719,959.31
Other Liabilities	942,878.15	51,643.30	-	-	-	1,241,258.00	-	2,235,779.45
Brokers commission payable	-	-	-	-	-	-	-	-
Provisions	-	29,995.61	-	343,797.61	6,816,196.09	614,233.00	-	7,804,222.31
Sundry creditors	-	-	-	-	-	271,973.00	-	271,973.00
Taxation	100,093.70	-	-	-	-	-	-	100,093.70
Other	36,232.41	2,084,924.00	-	702,627.72	24,595,086.47	-	894,059.00	28,312,929.60
Total Current Liabilities	13,733,636.61	32,852,416.37	-	17,286,633.04	549,334,158.35	55,636,225.00	6,601,888.00	675,444,957.37
Total Equity & Liabilities	16,378,112.87	36,005,106.74	8,996,581.04	22,113,647.04	583,302,238.35	61,181,105.00	7,118,120.00	735,094,911.04
Assets								
Non - Current Assets								
Property and Equipment	-	-	-	-	-	784,961.00	-	784,961.00
Land & Buildings	2,000,000.00	-	8,306,880.00	-	-	-	-	10,306,880.00
Furniture and Fittings	37,285.96	113,274.81	270,384.30	1,731.43	11,767.27	477,231.00	-	911,674.77
Motor Vehicles	-	629,184.48	-	-	93,170.22	2,545,395.00	-	3,267,749.70
Computer Equipment	53,610.78	83,431.20	88,255.00	-	20,436.18	100,672.00	306.00	346,711.16
Computer Software	106,916.95	-	-	-	-	-	-	106,916.95
Investments	422,250.28	1,366,054.74	-	-	-	-	481,472.00	2,269,777.02
Other	-	-	-	-	-	-	-	-
Total Non- Current Assets	2,620,063.97	2,191,945.23	8,665,519.30	1,731.43	125,373.67	3,908,259.00	481,778.00	17,994,670.60
Current Assets								
Commission Receivable	-	-	-	464,505.96	-	-	-	464,505.96
Premium Receivables	11,698,404.66	26,891,119.76	-	-	487,161,423.11	764,869.00	-	526,515,816.53
Accured Investment Income	-	-	-	-	-	-	-	-
Other Debtors & Inventory	51,124.42	195,943.98	240,100.48	3,870,985.58	457,281.25	-	5,297,225.00	10,112,660.71
Cash & Cash Equivalents	2,008,519.82	6,726,097.77	90,961.26	17,776,424.07	95,558,160.00	56,507,977.00	1,339,117.00	180,007,256.92
Total Current Assets	13,758,048.90	33,813,161.51	331,061.74	22,111,915.61	583,176,864.36	57,272,846.00	6,636,342.00	717,100,240.12
Total Assets	16,378,112.87	36,005,106.74	8,996,581.04	22,113,647.04	583,302,238.03	61,181,105.00	7,118,120.00	735,094,910.72